Skills

Advanced Assurance



Study Guide

2026

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Course overview

Module	Module title	Content
1	Professional ethics	Ethical threats (financial, business, employment and personal relationships; long association, fees, remuneration and evaluation policies, gifts & hospitality and litigation; non-audit/additional services)
2	Evaluating data integrity	Data integrity Evaluating the reliability of information
3	Audit acceptance and continuance decisions	Acceptance and continuance risks Acceptance and continuance procedures Responding to acceptance risks
4	Audit planning	Risk assessment Planning analytical review Materiality Responses to assessed risk Documentation and communication with those charged with governance
5	Specific risk areas and the impact on the audit approach	Laws and regulations Related parties Audit of accounting estimates Using the work of others
6	Internal control testing	Auditor's testing of internal controls The sales system The purchase system The non-current assets system The payroll system The inventory management system Internal audit
7	Substantive analytical procedures	Substantive analytical procedures Incorporating technology in substantive testing
8	Substantive procedures – part 2	Designing a substantive testing audit work programme Specific accounts and considerations Designing follow up substantive procedures Comparative and opening balances Final considerations
9	Substantive procedures – part 3	Audit sampling Practical application Outstanding matters Recording, considering and communicating misstatements

Module	Module title	Content
10	Completion and reporting	Going concern Subsequent events Evaluation of evidence Completion documents and quality review Audit report Communication with those charged with governance
11	Group audit	Acceptance and continuance of group audit engagements Group audit planning Group audit: Test of controls, substantive testing, completion and reporting Communication between group auditor and component auditors
12	Other assurance engagements and related services	Assurance engagements and related services Review of interim financial information Assurance on prospective financial information Other assurance engagements Assurance on sustainability information

How to use this guide

This guide is a short summary of the material in the Advanced Assurance course. It aims to bring together key points and concepts from the course to save you from having to check back to the learning material on Advantage.

This can be the basis of your revision notes – you may find it helpful to add further points as you work through the practice questions.

The Advantage course does not include a search function. This guide follows the same structure as the Advantage course. One way of finding content on Advantage, is to search for a term in the Study guide and then refer to the corresponding section on Advantage for further details.

The assessment

Advanced Assurance has a 150 minute timed assessment with three sections. It is marked out of 120 and to pass the assessment, you must achieve a mark of at least 50%.

Using permitted materials

For your AA assessment you are allowed the following permitted materials: the ICAS Auditing and Reporting Handbook, which contains the Ethical Standard (2024) and selected Auditing Standards, the ICAS Code of Ethics and IFRS Standards.

The Auditing and Reporting Handbook and the ICAS Code of Ethics will be available in the assessment platform during your assessment.

You may take a hardcopy of IFRS Standards into the assessment, which you are allowed to highlight, tab, sideline and underline.

You should ensure that you practice using these materials throughout the AA course.

Set yourself up for success

Once you have worked through the course material the key to passing the assessment is question practice. Make the time to answer all the Skills builder and Assessment practice questions at the end of each module. Try and answer the questions without looking back at your notes.

The additional assessment practice question pack and the sample paper can also be used for further question practice. You may find it helpful to attempt the sample paper in the same amount of time as you will have in the final assessment.

Questions

If you have any questions, please use the Discussion Forum to contact the tutor team for help.

Module 1 – Professional Ethics

Introduction

Welcome to the study guide for Module 1 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Evaluate and respond appropriately to ethical issues arising in assurance engagements

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

- Evaluate ethical dilemmas arising in an assurance engagement
- Recommend a course of action to address ethical dilemmas in line with the ICAS Code of Ethics

This will be achieved by working towards the following performance indicators:

- Evaluate assurance engagements to identify and explain potential ethical implications.
- Explain the implications of ethical threats to auditor independence and objectivity.
- Recommend safeguards to ethical dilemmas.

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key terms from Assurance (ASR)

ICAS Code of Ethics

The five fundamental principles of the ICAS Code of Ethics are:

- Integrity
- Objectivity
- Professional competence and due care
- Confidentiality
- Professional behaviour

Threats to Independence

The FRC's *Ethical Standard* (ES) identifies six threats to independence, which are:

- Self-interest threat
- Self-review threat
- Advocacy
- Familiarity
- Intimidation
- Management

What additional requirements can be found in section 1 of the FRC Ethical Standard?

The ES also has the following requirements for audit firms:

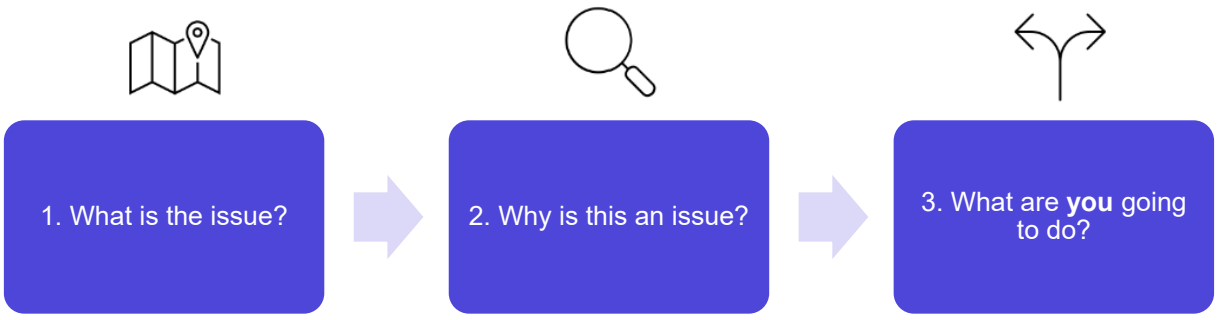
- The firm should have policies in place for procedures regarding certain ethical matters
- All firms (with the exception of the smallest) should appoint an ethics partner
- The auditor is required to communicate significant facts and matters that impact on auditor integrity, objectivity and independence to those charged with governance

Tutor tip

In Advanced Assurance (AA), you are expected to 'apply' this knowledge by evaluating whether these requirements have been followed by the firm or explaining these as actions to be taken by the firm in particular scenarios.

Assessment approach

Approach to ethical scenario questions:



Step 1: **IDENTIFY** the ethical issues
Step 2: Think of the relevant ethical guidance and of explain its **IMPLICATIONS** on auditor's objectivity and independence
Step 3: **APPLY** the guidance to the given scenario

Lesson 2: Ethical Threats: Financial, Business, Employment and Personal Relationships

How are ethical guidelines used regarding financial relationships?

A financial interest in a client constitutes a substantial **self-interest** threat.

Ethical example	Exceptions
Shareholding in a client Debt instruments in a client Share options	No exception for **direct** holdings. Exception where the interest is an immaterial indirect investment where the holder has no influence over investment decisions.

How are ethical guidelines used regarding loans and guarantees?

Giving a loan to a client, being a guarantor for a client's loan or accepting a loan or guarantee of a loan from a client would lead to **self-interest** and **intimidation** threats to integrity or objectivity.

Ethical example	Safeguard
Accepting a loan from a client Being a guarantor for a client's loan Accepting a guarantee of a loan from a client	Should not be accepted Exceptions to this are if: • The client is a bank or a similar deposit taking institution • The loan is made in the ordinary course of business on normal business terms • It is not material to the audit firm and client

How are ethical guidelines used regarding business relationships?

A close business relationship will involve a common commercial interest, which in addition to a **self-interest** threat, could cause **advocacy** or **intimidation** threats to independence.

Ethical example	Safeguard
Joint venture with audit client Distribution/marketing arrangements Auditor leases office space from client or vice versa	Allowable where the transaction is: • In the normal course of business, on an arm's length basis • The transaction is clearly not material to either party

How are ethical guidelines used regarding employment relationships?

Audit staff on loan to audit client

The loan of personnel to an audit client might create a **self-review, advocacy, familiarity or management** threat.

Ethical example	Safeguard
Audit staff on loan to audit client	Deemed the threat would be too significant that no safeguards are available. FRC's ES states that firms cannot enter into agreements with audit entities or their affiliates to provide partners or employees to work for them for a temporary period The only exception available relates to staff employed by a UK national audit agency. To safeguard the threats, it must be ensured that: • It does not include management responsibilities • It is for a short period of time (no longer than 12 months) • It does not include the provision of a prohibited service

Audit staff leaving to join an audit client

If a member of the audit team joins the audit client in a key management position, **familiarity, self-interest and intimidation** threats may arise.

Significance of the threats depend on the role the individual was at in the audit team, the seniority of the role that they have taken up at the client and the length of time that has passed between the individual's connection with the audit engagement and the new role at the client.

Ethical threat	Safeguard
Audit partner joining in senior management position	Not allowed within 1 year period (2 for a public interest client)
A member of the audit team joins the audit client in a key management position within two years of leaving the engagement team	Modifying the audit plan to incorporate more unpredictability Ensuring the audit team has senior team members who have sufficient experience as compared with the individual who has left Involving an additional professional accountant not involved with the engagement to review the work done
Where any member of the engagement team who was involved in an engagement in the previous year (or two years in the case of a partner) is going to be employed by a client	Notify the firm of any situation involving their potential/ probable employment with any such entity Be removed from the engagement team Have a review performed of their work on both their current and most recent engagement

Former audit client staff joins the audit firm

When former audit client staff join the audit firm, the key threat is **self-review** as the audit team member will report on work they prepared originally, or elements of the financial statement they had responsibility for at the client, but there is also a risk of **self-interest and familiarity** threats.

The significance of the threat depends on:

- Position the individual held within the entity
- Length of time since the individual left the entity
- Position the individual holds in the engagement team or audit firm

Ethical threat	Safeguard
Former audit client staff joins the audit firm	When former directors or employee of an audit client who were in a position to exert significant influence over the preparation of the financial statements joins the audit firm, they should not be assigned to the audit team. They should not be assigned to any position in which they are able to influence the conduct and outcome of the audit for 2 years following the date of leaving the audit client.

How are ethical guidelines used regarding personal relationships?

- **Immediate family**: A spouse (or equivalent) or a dependent
- **Close family**: A parent, non-dependent child or sibling who is not an immediate family member.

When an immediate or close family member has a financial, business or employment relationship it may lead to **familiarity**, **self-interest**, and **intimidation** threats.

The safeguards will be dependent on the individual circumstances:

Ethical threat - examples	Safeguard
Spouse is the finance director of your audit client – there is no acceptable safeguard to reduce to acceptable risk therefore they should be removed from the audit. Niece working in the marketing department of your audit client – this could be deemed as an acceptable risk as they would have no influence on the audit.	The firm should have procedures for staff to report any possible relationships that may compromise independence and the engagement partner must assess any threats identified and apply appropriate safeguards. The engagement partner may do this in consultation with the ethics partner. According to ICAS' code of ethics, examples of actions that might be safeguards to address such self-interest, familiarity or intimidation threats include structuring the partner's or employee's responsibilities to reduce any potential influence over the audit engagement and having an appropriate reviewer review the relevant audit work performed.

Lesson 3: Ethical Threats: Long association, Fees, Gifts and Litigation

How are ethical guidelines used regarding longstanding association with the audit engagement?

Long association by senior members of the audit team with a particular audit client might lead to **familiarity, self-interest** and **self-review** threats as there can be actual or perceived lack of scepticism when performing the audit.

The ES' requirements differ for public-interest and non-public interest clients:

Public interest clients

- Engagement partners should be rotated after 5 years (to safeguard the quality of the audit this may be extended to 7 years)
- The engagement quality reviewer should be rotated after 7 years (and must not return for 5 years)
- Any other key partners (such as tax partner) should be rotated after 7 years (and must not return for 2 years)
- The independence of any other audit staff should be seriously considered and discussed with the ethics partner after 7 years.

Non-public interest clients

- Rotation of the audit partner should be considered after 10 years in the role.

If this is not carried out, an alternative safeguard should be put in place, such as:

- Involving an additional partner who is not involved, or has not recently been involved, on the audit engagement to review the work
- If the individual is not removed, the reasons behind the decision must be documented and those charged with governance of the audit client should be informed.

The Companies Act 2006 includes rules on mandatory audit firm rotation of auditors of public interest entities. A maximum period of 10 years has been introduced which can be extended to 20 years provided that an appropriate tender process takes place at least every 10 years. Therefore, under the Companies Act 2006, an audit firm can only undertake the audit of a specific PIE for a limited period.

How are ethical guidelines used regarding fee, remuneration and evaluation policies?

Conducting an audit on a contingent fee basis gives rise to a **self-interest** threat.

Where fees are overdue, a **self-interest** threat to independence may arise. The overdue fee effectively constitutes a loan to a client.

Fee dependence covers situations where firms may be reluctant to act in a way which could jeopardise their relationship with the client, for fear of losing a significant portion of their fee income.

If the auditor is receiving substantial fees for non-audit services from an audit client or is perceived to be dependent on a particular client, there may be a perceived **self-interest** and **intimidation** threats to independence.

If audit team members have their performance appraised or their pay linked to their ability to cross sell the firm's services to audit clients, the **self-interest** threat that may arise is so significant that no safeguard is possible.

Ethical threat	Safeguard
Providing audit or non-audit services on a contingent fee basis.	Threat is so significant that there is no safeguard possible.
Overdue audit fees	The engagement partner and ethics partner should consider whether the audit firm can continue or whether it is necessary to resign unless fees are clearly trivial. If the firm does not resign, the engagement partner should apply appropriate safeguards (such as a review by a partner with relevant expertise who is not involved in the engagement) and notify the ethics partner of the facts concerning the overdue fees.
Dependence on non-audit services	The total fees for non-audit services in relation to a *public interest audit* client are capped at 70% of the average of the fees paid over the last three years for the audit of the entity.
Dependence on one client	If total recurring fees (audit and non-audit) are expected to regularly exceed 10% (public interest and other listed clients) or 15% (non-listed clients) of the annual fee income of the audit firm, then the auditor should resign or not stand for re-appointment. Total fees approaching these limits should be disclosed to the ethics partner and those charged with governance at the client. Potential safeguards include reducing the amount of non-audit work and applying independent internal quality reviews.
Remuneration for selling non-audit services	Auditors should not be remunerated, appraised or given bonuses based on the selling of non-audit services to audit clients. The focus for evaluation and remuneration should be audit quality.

How are the ethical guidelines used regarding gifts and hospitality, and litigation?

Gifts and hospitality

Gifts or hospitality given by or received by the auditor could be perceived as a **self-interest** and **familiarity** threats to independence.

Ethical threat	Safeguard
Accepting gifts or hospitality (including immediate family or persons able to influence the audit)	Firms should have policies in place regarding the extent to which gifts and hospitality may be accepted from audited entities. Gifts and hospitality can only be accepted where the value is clearly trivial.

Threatened and actual litigation

When a client threatens to sue or sues the firm for work that has been done previously, **self-interest**, **intimidation** and **advocacy** threats to auditor's integrity, objectivity and independence arise.

Ethical threat	Safeguard
Threatened and actual litigation	If litigation is in progress or is probable, the firm should either not continue with or not accept the audit engagement. Not required to resign if an objective, reasonable and informed third party would not regard it as being in the interests of the shareholders (or equivalent) or otherwise contrary to the public interest.

Lesson 4: Ethical Threats: Non-audit/Additional Services

When a firm provides non-audit services to their audit clients, **self-review, management, self-interest and advocacy** threats **commonly** arise.

Non-audit services explicitly prohibited for PIE clients that are audit clients are given in the document FRC ES - Appendix B. This is included within the ICAS Auditing and Reporting Handbook, which is permitted material for your assessment.

Ethical threat	Safeguard
Provision of non-audit services	Have a separate team from the audit team perform the non-audit service Complete an independent engagement quality review on the audit engagement Firms cannot take decisions on behalf of the client's management. The firm needs to evaluate if there is informed management at the client. If there is, it may be possible that safeguards can be implemented to minimise management threat.

Some non-audit services are strictly prohibited:

- **Internal audit**
- **Accounting services** – not permitted on listed clients
- I**T services** – the design, provision or implementation of a significant part of the accounting system is not permitted
- **Corporate finance services** - services that involve dealing, underwriting or promoting an audit client's shares are not permitted
- **Recruitment and remuneration services**
- **Tax services** – those which involve the firm undertaking a management role are not permitted.
- **Valuation services** – not permitted on listed clients if the valuations have a material effect on the company's financial statements
- **Legal services/litigation support services**

Assessment approach

It is important to understand that in AA, marks are given for appropriate application of the knowledge rather than just stating knowledge.

The assessment approach to be taken is:

Step 1: **IDENTIFY** the ethical issues
Step 2: Think of the relevant ethical guidance and of explain its **IMPLICATIONS** on auditor's objectivity and independence
Step 3: **APPLY** the guidance to the given scenario

The impact of ethical threats needs to be assessed throughout the audit, for example, from the appointment stage through to when the audit report is being finalised and then again at the reappointment stage.

Similarly, ethical guidance is also expected to be applied when accepting and conducting non-audit engagements.

This is why questions on ethical evaluation in AA are likely to be combined with other topics (for example, acceptance, planning, reporting, engagements other than audit, etc).

Conclusion

On completing this module, you can now attempt AAPQ 15 and 22.



Study guide checklist

Have you completed reading module 1?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 2 – Evaluating data integrity

Introduction

Welcome to the study guide for Module 2 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Design procedures to evaluate the integrity and completeness of data and evaluate the results of audit data analytical procedures when collecting audit evidence

This will be achieved by working towards the following performance indicators:

- Evaluate an organisation's risks in relation to data integrity, analysing the impact on management's ability to make effective strategic decisions, and recommend procedures to maintain data integrity
- Design procedures to evaluate the reliability of information produced by the entity
- Evaluate the reliability of information produced by the entity for the purpose of audit evidence

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms from Assurance (ASR)

Audit Evidence

Auditors must gain **sufficient appropriate** evidence on which to base their opinion.

For evidence to be appropriate, it must be:

- Relevant
- Reliable

Relevance

Evidence will be **relevant** if it provides evidence over one or more **financial statement assertions** as listed below:

Account balances and related disclosures at the period end:	Existence; Rights and Obligations; Completeness; Accuracy, Valuation and Allocation; Classification; Presentation
Classes of transactions and events throughout the period and related disclosures:	Occurrence; Completeness; Accuracy; Cut-off; Classification; Presentation

Lesson 2: Data integrity

What is data integrity?

Data integrity – the accuracy, completeness and reliability of data over its life cycle.

The **components** of data integrity are:

Accurate	Data correctly reflects real-world information
Complete	Data should contain all critical information
Consistent	Data across an organisation should be consistent with itself
Reliable	Decision-makers should be able to rely on the data they are provided with
Secure	Data should be secure and protected
Timely	Data should be up-to-date and therefore relevant
Traceable	The source of data should be understood
Valid	Data should exhibit the required characteristics
Uniqueness	Duplicate items should not occur within a data set

What is physical and logical data integrity?

Physical integrity

Considers **maintaining** the integrity of the data as it is stored and retrieved and the procedures to manage when the physical integrity of data may be compromised.

Logical integrity

Focus on the **rationality** of the data itself. There are four types of logical integrity:

Entity integrity	In a database, data is captured in a table. Entity integrity refers to 'columns' within this table as being the primary key(s). The primary key(s) should be unique and not null
Referential integrity	This looks at the processes in place to ensure data is stored and used uniformly. Referential integrity ensures that data between two connected data sets is accurately referenced.
Domain integrity	This looks to ensure that data within a specific 'column' of a table is accurate for that column. This, for example, might include a range of acceptable values or limit the format of data.
User-defined integrity	This covers any rules not classified into the three categories above which are defined by a user of the data. They will be specific to an entity's needs.

The difference between data integrity, security and quality

Data integrity	Data integrity is the threat that data is modified or corrupted within its life cycle as a result of failures, such as those around storage, processing, software or human intervention.
Data security	Data security deals with protecting data against unauthorised access or disclosure, which is important to ensure data integrity. Data security focuses on keeping data inaccessible to those who should not have access.
Data quality	Data quality focuses more on whether the data meets any defined standards and the needs of the organisation, and therefore can be used for its intended purpose.

How data integrity can be compromised?

The following are examples of how data integrity can be compromised:

Human error	If an authorised individual accidentally amends data by not following the correct process or making an error, then data integrity will be at risk.
Transfer errors	Data may need to be moved from one location to another. Should the data be corrupted during this process, data integrity will be put at risk.
Bugs and viruses	Corruption in software may result in data being altered or deleted.
Compromised hardware or software	Server crashes or other such problems may mean data is not processed or stored in a consistent way and therefore present a data integrity risk.
Data processing error	If data processes are not properly designed and developed, then data could be adversely amended or altered.

Maintaining data integrity

There's no single universal solution for maintaining data integrity. There are numerous tactics that can help to build an environment that supports data integrity. These include:

Culture and control environment	• Culture around reducing risks • Strong control environment • Training of staff • Mandating internal audit to monitor and assess data integrity
Follow the systems development life cycle (SDLC)	• Guards against potential risks involved in system development
Implement a formal, controlled data management process	• Quality controls • Physical controls • Logical security controls
Implement audit trails	• Secure and system generated audit trails • Details of amendments made, time stamps of edits to data and who amended data • Reviewed
Limit access to systems	• Appropriate access rights • Physical access controls • Logical access controls
Maintain backup and recovery procedures	• Regular and effective backup and recovery procedures • Data can be restored in the instance of an unexpected event causing loss or amendment of data
Purchase reputable software	• High standard and designed to maintain data integrity • Robust due diligence required
Perform regular internal audit reviews	• Systems audits; operational audits; post-implementation reviews; investigations; inspection and quality control and culture audits • Promote interaction between internal and external auditors to share lessons

Lesson 3: Evaluating the Reliability of Information

How can reliability of client information be evaluated?

Reliability of client information

- Before using information generated by the entity the auditor must evaluate to confirm that it is sufficiently **reliable, accurate** and **complete**, and **sufficiently precise and detailed** for their purpose
- More assurance is often obtained from independent information generated from outside the entity

How can professional scepticism be applied in audit?

The auditor should always exercise professional scepticism, and this requires a **challenging and questioning mind.** Auditors exercise professional scepticism as follows:

- Not just accept information produced by the entity
- Use their knowledge of the entity to identify new specific audit risks and tailor audit procedures
- Use their knowledge of the entity to analyse figures and the results of testing, and to challenge management's assumptions and explanations
- Determine whether any evidence is contradictory
- Only make judgements based on the evidence gathered and only conclude on an account when there has been sufficient enquiry and challenge, testing of assertions and the quality of evidence has been critically appraised and judged to be persuasive
- Document audit judgements

How is data prepared for use in audit data analytics?

- The auditor must consider the accuracy and completeness of information and whether it is sufficiently precise and detailed for the auditor's purpose
- This will include detailed procedures over the data, but may also involve reliance on client systems through testing of IT general controls
- Data produced from client systems may require cleansing and the auditor will put in place checks and controls over the data cleaning process

Some examples of relevant ADA procedures:

1. Agreeing opening balances to prior year signed financial statements
2. Agree closing balances to financial statements being audited
3. Cast and cross-cast data
4. Agreeing that the total movement in a dataset equals to the total movement in that account per the F/S
5. Testing IT General Controls or other controls around the production of data
6. Considering the continuity of sequentially numbered documents
7. Considering the characteristics exhibited by data, such as dates or time stamps
8. Performing sample checks of data lines to corroborated evidence
9. Review data for unusual characteristics such as duplicates, missing fields or information in inappropriate format
10. Agreeing batch totals to the client's IT system

Assessment approach

It is important to understand that in Advanced Assurance, you will be required **to apply your knowledge** to the information given in the scenario. Reproducing a generic list of risks to data integrity (or procedures to evaluate it) is unlikely to get you any marks in the assessment.

Active reading of the case and critical evaluation of each piece of information given in the question are the main techniques that need to be applied while practising these questions.

The key techniques to remember are the following.

When you are asked to analyse risks to data integrity and evaluate their impact on management's ability to design and implement an effective strategy:

- You should begin with ***identifying*** risks to data integrity when you are reading the scenario.
- You should then ***analyse*** the risk by thinking of its implications.
- When asked to evaluate the ***impact of the risks on the organisation's strategy***, think about the impact of unreliable data on the company's ability to make proper decisions.

When you are asked to analyse information given in the scenario to highlight any concerns over the accuracy, validity and completeness of the underlying data:

You need to begin by identifying the issue from the scenario and then analyse it.

It is important to read the information provided carefully. Look for unusual trends or information that appears to contradict other information and explain them.

When you are asked to describe any further audit evidence (or procedures) that are required to conclude on whether reliance can be placed on the underlying data by the audit team:

When explaining evidence (or procedures), ensure that you identify the source document and then go on to explain what you are confirming from the source document.

Conclusion

On completing this module, you can now attempt AAPQ 4.



Study guide checklist

Have you completed reading module 2?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 3 – Audit acceptance and continuance decisions

Introduction

Welcome to the study guide for Module 3 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Evaluate the results of acceptance and planning procedures, including the use of audit data analytics to assess and determine the risk of material misstatement and impact on audit approach

This will be achieved by working towards the following performance indicators:

- Explain an auditor's professional requirements in relation to acceptance and continuance of an audit engagement
- Evaluate the acceptance and continuance risks presented by an audit engagement
- Design appropriate safeguards to respond to acceptance threats

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

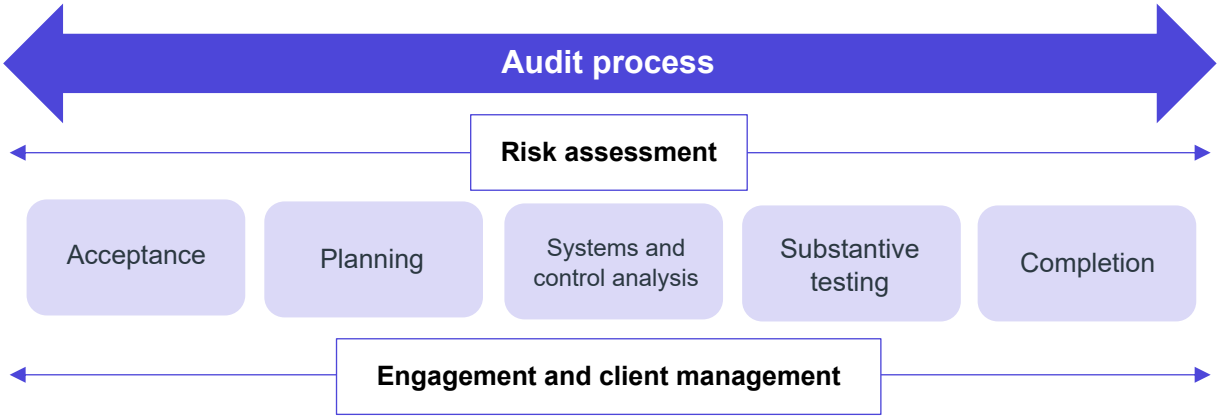
Lesson 1: Key terms from Assurance (ASR)

What are the key elements of the audit process?

The audit process is split into seven elements.

The **risk assessment**, **engagement and client management** elements must run throughout the whole of the audit process and are referred to as ongoing elements.

The other five elements (**acceptance**, **planning**, **systems and control analysis**, **substantive testing**, and **completion**) represent the stages of the audit process.



Element	Detail
Acceptance	• Before the engagement begins • Professional and ethical requirements
Planning	• Need to gain an in-depth understanding of the client, its environment, the financial reporting framework and the system of internal control • From this, the auditor will identify areas in the financial statements that have a higher chance of fraud or error • Preliminary materiality level will be set, which will be reviewed throughout the audit • Planning usually happens before the year end.
Systems and controls analysis	• Understand what processes and controls a client has in place • Test how effectively these operate in terms of preventing or detecting and correcting an error/fraud (or 'misstatement') in the accounts. • Frequently occurs during an 'interim audit' before the entity's year end.
Substantive testing	• Occurs after the year end • Involves testing the figures in the financial statements to identify misstatements
Completion & reporting	• Performed to allow the audit to be concluded • The final audit report can be issued, stating whether, in the auditor's opinion, the financial statements are 'true and fair'.
Risk assessment	• Auditors follow a 'risk-based approach' in external audits. • More work done by the auditor where there is more risk of misstatement • Ongoing element
Engagement and client management	• Audit must be properly managed • Appropriate staff • Adequate review • Managing clients' expectations • Communication within the audit team and between the client and the audit team is a key requirement • Ongoing element

Auditors do not need to wait for the accounting year end to start the audit process. For larger clients, an interim audit may be carried out.

What are the benefits of an interim audit?

Benefits of conducting interim activities before year end:

- Spread resources throughout the year
- Provide clients with a status report on internal control recommendations before year end
- Issues can be identified before year end
- Reduces risk of not achieving deadlines
- A better understanding of the business, processes and controls can be obtained

Lesson 2: Acceptance and continuance risks

How can an audit firm win an audit engagement?

Procedures undertaken prior to winning the client can involve the following:

- Understanding the client and the services to be provided
- Preparing budgets and considering resources
- Drafting a proposal document for audit services to provide to management and directors
- Submitting the proposal and giving a presentation to the potential client

A **proposal** will generally be submitted summarising key information regarding why the audit firm should be chosen by the prospective client. This will include:

An estimate of the audit fee	The audit team profile including experience	An initial assessment of the key risk areas
An explanation of the tools and technologies to be used	Client deliverables, meetings and engagement timeline	A follow up presentation

What are client acceptance and continuance considerations?

As learnt in ASR, the key matters to be considered and the procedures that an audit firm should carry out before accepting a new client or engagement include the following:

- Risk analysis
- Firm's ability to audit the client
- Ethical considerations
- Communication with the outgoing auditor

What is client acceptance and continuance risk?

Prior to accepting an engagement, the audit firm must assess the risks to the firm that would arise from being associated with the prospective client. This assessment should be repeated on an annual basis to identify any change in circumstances impacting the client's risk profile.

Acceptance risk - a risk to the audit firm of accepting a new engagement.

Continuance risk – a risk to the audit firm of continuing an engagement.

Engagements can bring a variety of commercial and professional risks to the audit firm:

Commercial risks include:	
Financial risks	• Financial loss due to unpaid fees • Financial loss due to a low fee that does not meet the costs of the audit. • Financial loss due to litigation related to the client. • Financial loss due to damaged reputation and related loss of clients. • The requirement to forego fees for non-audit services, in order to accept an audit appointment.
Reputational risks	• Association with an unscrupulous client • Association with a client that fails • Legal claims brought against the professionalism of the auditor
Professional risks include:	
Ethical risks	• Audit firm does not comply with professional standards • Engagement partner not being independent
Legal risks	• Audit firm does not comply with laws and regulations • Suspicions of money laundering at the potential client

ISQM (UK) 1

The firm's system of quality management

The audit firm must establish processes to ensure that relevant ethical requirements, including those related to independence, are fulfilled. These procedures should ensure that the firm and its staff:

- Understand the relevant ethical requirements.
- Fulfil the relevant requirements in relation to these.

Acceptance and continuance

The firm must establish a process to ensure that judgements about whether to accept or continue a client relationship or engagement are appropriate based on:

- Information obtained about the nature and circumstances of the engagement.
- The integrity and ethical values of the client.
- The firm's ability to perform the engagement in accordance with professional standards and applicable legal and regulatory requirements.

The audit firm should not let financial or other operational priorities lead to inappropriate decisions about accepting or continuing an engagement.

ISA (UK) 220

Preliminary engagement activities

At the beginning of an audit engagement, the auditor must undertake the following activities:

- Perform procedures regarding the acceptance and continuance of client relationships and specific audit engagements.
- Evaluate the firm's ability to comply with ethical requirements, professional standards and applicable legal and regulatory requirements.

Ethical requirements

The engagement partner is required to:

- Have an understanding of the relevant ethical requirements for the engagement, including those related to independence.
- Take responsibility for making sure the entire engagement team is aware of the relevant ethical requirements for the engagement

Acceptance and continuance

The engagement partner shall:

- Determine whether the firm's policies or procedures for acceptance and continuance have been followed and that appropriate conclusions have been reached.
- Take into account information obtained during acceptance/continuance in planning and performing the audit engagement.

ISA (UK) 210

The auditor should accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through:

- Establishing whether the **preconditions for an audit** are present.
- Confirming whether there is a **common understanding** between the auditor and the client's management (including those charged with governance) of the **terms** of the audit engagement.

To establish that the preconditions for an audit are present, the auditor shall:

- Determine that the financial reporting framework is acceptable.
- Obtain agreement from management that it acknowledges and understands its responsibility for:
  - The preparation of financial statements.
  - Internal controls that enable financial statements to be free from material misstatement.
  - Providing the auditor with access to relevant information and staff

If management imposes a **limitation on the scope** of the auditor's work that the auditor believes will result in the auditor disclaiming the opinion on the financial statements, the financial reporting framework is not applicable or management does not agree to acknowledge and understand their responsibilities as laid out above, the auditor must not accept the engagement unless required by law or regulation to do so.

Tutor tip

The auditor obtains such information as is deemed necessary in order to reach a decision regarding the acceptance of the engagement. This information is then assessed according to how it impacts the audit firm in terms of commercial and professional risk.

An assessment question should be approached in the same way. If you are given information about a client in the scenario, you need to identify **facts** from the scenario to consider **how they impact** the audit firm's risks. Then, as a part of the **analysis**, you should explain the importance of the facts in relation to the acceptance decision.

Example

FACTS from question	ANALYSIS in terms of risk
• A partner in the firm has a shareholding in the client	• This partner should not be on the audit as they are not independent, and this would breach the ethical standard requirements

Lesson 3: Acceptance and continuance procedures

What acceptance procedures are undertaken for audit engagements?

There are seven main **acceptance procedures**.

- Identify the user and nature of the engagement.
- Assess the prospective client's legal and financial stability.
- Assess the integrity of those charged with governance, management and the principal owners.
- Communicate with the previous auditor.
- Evaluate the audit firm's ability to audit the entity.
- Perform the client identification procedures.
- Agree the basis for performance of the audit.

Some students may find it helpful to use the anagram below to help remember these:

Basis for performance
Auditor previous
ID Procedures
Legal and financial stability
Management's integrity
Ability to audit
Nature and users

1. **Identify the users and nature of the engagement** - includes understanding the prospective client, the impact on legal responsibilities and the nature of the financial statements.

Understanding the prospective client may include consideration of:

- The size, complexity and nature of the entity.
- Timetable for reporting.
- Whether there have been changes in the entity or in the industry since the previous audit (for continuance decisions).

The auditor's **legal responsibilities** on an engagement may vary depending on the intended users of the financial statements and the nature of the engagement.

The auditor should consider the **nature of the financial statements**, including whether the general-purpose financial statements will meet the needs of the users or whether any special-purpose reports will be required.

2. **Assess the prospective client's legal and financial stability** – an auditor will want to take steps to protect themselves from the risk of legal claims or unpaid audit fees.

Clients that pose a high risk of litigation or financial loss may be rejected, such as:

- Entities whose principal operations or products are the subjects of either material lawsuits or investigations by regulatory authorities, the outcome of which could adversely affect the viability of the business
- Entities that are known to be experiencing financial instability

3. **Assess integrity of TCWG, management and the principal owners** - an auditor should seek reasonable assurance that the entity's management can be trusted.

Matters to consider when assessing the integrity of a client include:

- Nature and complexity of entity and its operations
- Interpretation of accounting standards and quality of internal control environment
- Concerns with keeping the fee low
- Indications of a client-imposed limitation in the scope of work.
- Possible money laundering activities
- The reasons behind the firm's appointment and non-reappointment of the previous firm.

To assess the integrity of management the auditor should perform a number of procedures:

- New engagement - contact the previous auditor
- Continuing engagement – consider past experience with the entity's management
- Make enquiries of third parties
- Background checks
- Review press

4. **Communicate with the previous auditor** - a prospective auditor is required to contact the existing or previous auditor as part of the acceptance decision process

5. **Evaluate the audit firm's ability to audit the entity** - this may include assessing:

- Competency and resources
- Limitations imposed by the client
- Independence

6. **Perform client identification procedures** – this is a statutory requirement and a risk assessment procedure. Auditors must obtain evidence that establishes the full name and permanent address of the entity and its principal directors, partners and shareholders.

7. **Agree the basis for performance of the audit** - the auditor must establish the preconditions for an audit and that there is a common understanding between the auditor and management about the terms of the engagement.

Tutor tip

In a scenario question, you will be required to consider how the facts provided impact the risks to the firm. As discussed in the previous lesson, the facts must be analysed, not simply identified, in order to gain marks.

Use the seven procedures as a checklist to identify all of the issues relevant to the question. This should increase your chances of identifying enough points for the marks available. It is a reminder of the things you should consider and does not represent the headings that you need to use.

The ethical standard headings may be used as a further prompt to ensure all independence risks are considered.

What continuance procedures are undertaken for audit engagements?

- A continuance decision focuses primarily on any changes since the prior year audit
- An evaluation of risks and consideration of independence will still be required
- For a public company a decision will need to be made before the AGM. During the completion stage of the prior year audit is common
- A private company does not require an AGM to re-appoint the auditor. The statutory auditor is automatically re-appointed each year

Safeguards are required where risks are identified, or else the engagement should be declined.

Tutor tip

In an assessment question, you do not need to use the seven areas as headings in your solution, however considering each of these can help you to gain marks. Not all of these headings will be relevant to every scenario. This is particularly relevant when looking at continuance risks as when continuing an audit engagement there would not be the requirement to communicate with the previous auditor.

Using the checklist as a prompt should result in a number of risks being identified. In order to gain the full marks available, you need to explain how the fact identified would impact the auditor's ability to accept or continue with the engagement.

Lesson 4: Responding to acceptance risks

How can an auditor respond to acceptance risks?

Where significant risks are identified, the auditor must:

- Take steps to eliminate each risk or reduce it to an acceptable level to enable acceptance or continuance of the engagement **OR**
- Decline the engagement where it is impossible to reduce the risks to an acceptable level.

Examples of steps to eliminate risk or reduce it to an acceptable level include the following:

- Recruiting audit staff or using seconded staff from other offices to ensure audit staff have sufficient time to complete the engagement within the required timeframe.
- Rotation of the engagement partner or other members of the engagement team.
- Using an auditor's expert where the audit firm lacks competence to audit a specified area.
- Using separate engagement teams where independence issues arise.
- Engagement quality control review (independent partner review).

Tutor tip

A question may ask you to identify the specific risks arising from the scenario and a response to those risks that would enable the firm to take on the client. You must ensure that you can identify and explain how these acceptance risks impact the audit firm and be able to propose safeguards, where appropriate, to mitigate each risk or reduce it to an acceptable level.

You must also be able to identify when an auditor is unable to propose sufficient safeguards or is prohibited outright from undertaking the engagement. When proposing safeguards, you should ensure that they are relevant to the firm outlined in the scenario. For example, partner rotation is an inappropriate safeguard for a one-partner firm.

What are audit engagement letters?

ISA (UK) 210 includes the requirements regarding the engagement letter.

The following items **must** be included in the engagement letter:

- Objective and scope of the audit
- Responsibilities of the auditor
- Responsibilities of management
- Identification of the applicable financial reporting framework
- The form and content of any reports to be issued by the auditor
- A statement that there may be circumstances in which a report may differ from its expected form and content

The following items **may** be included in the engagement letter:

- That the auditor will expect management to sign management representations as part of the audit
- More detail on the scope (for example, reference to applicable legislation, regulations, ISAs (UK)) and planning of the audit
- Any caveats or disclaimers that are included to limit the potential liability of the auditor in relation to the engagement.

For continuing engagements, where significant changes have taken place since the prior year audit, a new engagement letter may be required.

Assessment approach

It is important to understand that in Advanced Assurance, you will be required to **apply your knowledge** to the information given in the scenario. Therefore listing generic acceptance risks is unlikely to get you any marks in the assessment. Your answer must be tailored to the question.

The key techniques to remember are the following.

When you are asked to evaluate acceptance/continuance risks:

- You need to identify facts from the scenario to consider how they impact the audit firm's risks.
- Then, as a part of the analysis, you should explain the importance of the facts in relation to the acceptance decision.

Use the seven procedures as a checklist to identify all of the issues relevant to the question.

If you are then asked for a response to those risks that would enable the firm to take on the client:

- You must ensure that you can identify and explain how these acceptance risks impact the audit firm and be able to propose safeguards, where appropriate, to mitigate each risk or reduce it to an acceptable level.
- You must also be able to identify when an auditor is unable to propose sufficient safeguards or is prohibited outright from undertaking the engagement.



Study guide checklist

Have you completed reading module 3?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 4 – Audit Planning

Introduction

Welcome to the study guide for Module 4 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Evaluate the results of acceptance and planning procedures, including the use of audit data analytics to assess and determine the risk of material misstatement and impact on audit approach.

This will be achieved by working towards the following performance indicators:

- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements
- Evaluate the results of planning analytical review findings, including calculating an expectation for key figures in the financial statements
- Recommend appropriate materiality figures and consider the application of materiality to the audit process
- Plan an approach to gathering sufficient appropriate audit evidence in response to identified risks of material misstatement
- Identify and evaluate matters which are required to be documented during the planning stage of an audit, including the audit strategy memorandum
- Plan the methods, timing and content of communication with those charged with governance during the audit

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms from Assurance

What are the benefits of audit planning?

- Good planning ensures audit focused on risky areas and carried out in an efficient/ effective manner
- Planning is a continuous process

What is the difference between an audit strategy and an audit plan?

Audit strategy:	• Audit strategy memorandum (ASM) captures the main general areas of planning: materiality, risk, audit approach, use of experts and internal audit, timing, team, budgets and deadlines. • The overall audit strategy should be updated as necessary during the course of the engagement.
Audit plan:	• The plan contains the detail needed to implement the strategy • The audit plan is more detailed than the overall audit strategy in that it includes the nature, timing and extent of audit procedures to be performed by engagement team members.

Lesson 2: Risk Assessment

What is audit risk?

Audit risk is the risk that the auditor gives an inappropriate opinion on the financial statements when the financial statements are **materially misstated.**

The risk must be reduced to an acceptably low level.

The components that make up the audit risk formula are:

Audit Risk = Inherent Risk x Control Risk x Detection Risk

The combination of Inherent Risk and Control Risk is called **Risk of Material Misstatement** (ROMM).

What risk assessment procedures do auditors carry out to assess the risk of material misstatement?

Risk assessment procedures will collect information that the auditor will use to identify and analyse potential risks of misstatement in the financial statements.

Enquiry Of management and others within the client	**Inspection** May include inspection of internal documents and reports prepared by management and TCWG
Analytical Procedures Help identify inconsistencies or unusual transactions or trends	**Observation** May support or contradict inquiries. May occur at client's premises.

Additionally, the auditor is required to consider information from other sources and engagement team discussion.

Understanding the entity

Auditor must gain an understanding of:

- **The entity and its environment**
  - Organisational structure, ownership and governance and business model (including the use of IT)
  - Industry, regulatory and other external factors
  - The measures used, internally and externally, to assess the entity's financial performance.
- **Applicable financial reporting framework and the entity's accounting policies**
- **Inherent risk factors**
- **System of internal controls**

How is risk of material misstatement identified and assessed?

Risk of material misstatements in the financial statements may arise due to **fraud or error**.

In order to assess ROMM, it is important to understand its impact at the overall financial statements level as well as the assertion level.

ISA (UK) 315 requires that risks of material misstatement are identified and assessed in terms of their impact at:

- The **financial statement level** (financial statements as a whole)
- The **assertion level** for individual balances, transactions and disclosures (risks consist of inherent and control risk)

Risks of material misstatement at the financial statement level arise from:

Fraud	A higher risk of fraud could result in a ROMM over a number of accounts due to a higher risk of manipulation generally. This is particularly where there are risk factors in relation to management override and the manipulation of profit to meet bank covenants, combined with weaknesses in the control environment, rather than a particular process.
Going concern	Going concern is a fundamental concept of the financial statements. Therefore, if there is a risk that the going concern assumption is not appropriate or that uncertainties are not disclosed properly, then this has an impact on the financial statements as a whole.
A weak control environment	The impact of a weak control environment is likely to impact all account balances and transactions as the detailed controls within individual systems over all accounts are less likely to be operating effectively.

Risk of material misstatement at the assertion level – the assertions are as follows:

Account balances	Classes of transactions
Existence	Occurrence
Rights and obligations	Completeness
Completeness	Accuracy
Accuracy, valuation and allocation	Cut-off
Classification	Classification
Presentation	Presentation

Control risk

Control risk is the risk that an organisation's internal control systems do not adequately prevent or detect and correct a misstatement either because they are poorly designed or do not operate effectively.

Control risk is assessed predominantly at the systems and controls stage of the audit.

Inherent risk

Inherent risk can arise from:

Business risk	Only an audit risk if they could result in a material misstatement in the financial statements • **Strategic and operational** (market, organisational, financial) • **Reliable financial reporting** • **Compliance** (social and environmental/legal and regulatory)
Inherent risk factors	• **Complexity** – Arises either from the nature of the information or in the way that the information is prepared. • **Subjectivity** – Arises from inherent limitations in the ability to prepare information objectively, due to limitations in the availability of knowledge or information, such that management is required to make a judgement. • **Change** – May include changes to the entity's business operations, accounting standards, regulatory environment or industry which have an impact on the financial statements. • **Uncertainty** – Arises when the required information cannot be prepared based on only sufficiently precise and comprehensive data that is verifiable through direct observation. • **Susceptibility to misstatement due to management bias or other fraud risk factors** – This arises from conditions that create susceptibility to intentional or unintentional failure by management to maintain neutrality in preparing the information. If intentional, this may amount to fraudulent financial reporting.

Tutor tip

Students often identify the audit risk arising from business risks, such as the loss of a key customer or too much inventory on hand. However, they often miss the inherent specific risks relating to correct accounting.

This will identify a range of risks. You should always explain the risks in relation to the possible impact of material misstatement in the financial statements.

For example, if the client has obsolete goods in inventory, the business risk is that they would need to sell it at lower margins (or scrap it), resulting in financial loss for the business.

The risk of material misstatement needs to be linked to how this obsolete inventory has been recorded in the year-end financial statements. If it has not been recorded at the lower of cost and net realisable value, inventory and profit would be overstated. This overstatement is the potential impact on the financial statements.

Fraud Risk

There are two different types of fraud:

Fraudulent financial reporting	More commonly involves management override of controls
Misappropriation of assets	More commonly perpetrated by employees

The responsibility for the prevention and detection of fraud rests with **management** and **those charged with governance**.

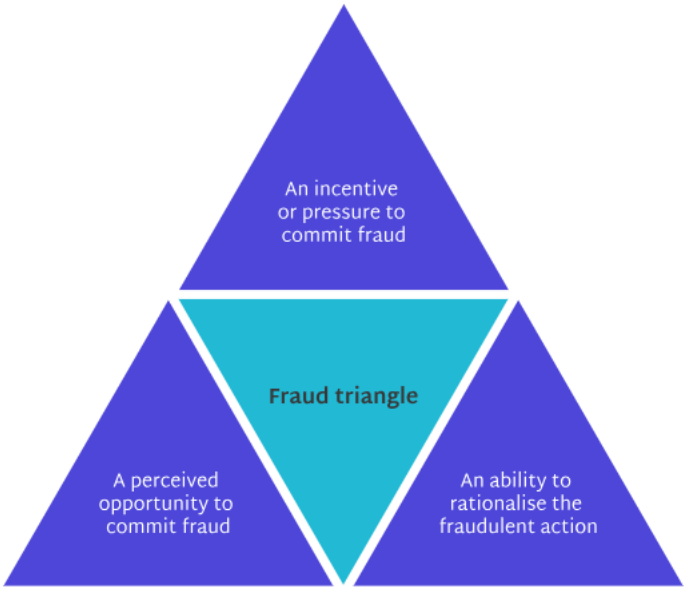
The auditor's responsibilities are:

Audit objectives	• Obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement due to fraud • To respond appropriately to fraud or suspected fraud identified during the audit.
Professional scepticism	• The auditor must maintain an attitude of professional scepticism at all times when conducting their work.
Discussion among the engagement team	• Discussion among the engagement team including the engagement partner is required

Risk assessment procedures

- Obtaining an understanding of the fraud risk factors relevant to the entity
- Making enquiries of management, those charged with governance and others within the entity
- Consideration of whether any unusual or unexpected relationships have been identified in performing analytical procedures
- Consideration of other information obtained by the auditor

Fraud risk factors can be categorised based on three conditions generally present when fraud occurs:



Tutor tip

Fraud risk factors or evidence that indicates a fraud has been committed will be included in facts within a scenario. The factors listed within the appendices to ISA (UK) 240 are common indicators you will be presented with. Being familiar with these indicators will make it easier to identify from a scenario whether a fraud risk exists.

The fraud risk factor categories may be used as prompts in a risk question to identify all of the factors that may result in a fraud risk. Often, it is easier to identify incentives to commit fraud, but harder to identify the opportunities and rationalisations, such as a weak control environment and disregard for controls. Events such as improved profitability where available cash is declining are also indications that fraud may have occurred. Therefore, using the categories can help you identify a larger range of fraud risk factors.

The indicators that you identify should be explained in terms of them providing an incentive, opportunity, rationalisation or evidence of a fraud occurring.

Going concern

General purpose financial statements are prepared on a going concern basis under which assets and liabilities are recorded on the basis that the entity will be able to continue trading for the foreseeable future and realise its assets and discharge its liabilities in the normal course of business.

Audit objectives:

- Obtain evidence regarding and conclude on whether there are any material uncertainties
- Obtain evidence regarding and conclude on the appropriateness of the GC assumption
- Report on GC

In performing risk assessment procedures the auditor must consider:

- The entity and its environment
- The applicable financial reporting framework
- The entity's system of internal control
- The entity's risk assessment process
- The entity's information system and related business processes relating to going concern

It is the responsibility of the **directors** to prepare the financial statements and to assess whether or not the entity is a going concern and to prepare the financial statements accordingly.

Tutor tip

You may be given a scenario in an assessment question and asked to identify the audit risks. The **facts** that you may identify are the matters in the activity above, which should be explained in terms of how they could **impact** the going concern. This is a **risk** to the organisation and also an AR at the financial statement level.

For f**inancial statement-level risks**, you may find that **several facts combine** to create an audit risk. For example, say a company has net liabilities and negative cashflows and needs to repay a large loan in two months. In this instance, you should **group the facts** together under the risk of the going concern assumption being inappropriate. Grouping the points is important as multiple marks are not awarded for identifying separate going concern points in the exam.

Significant risks

- Includes risks with the highest inherent risk and those designated by ISAs (UK)
- Fraud is required to be classified as a significant risk
- Allows the auditor to focus more attention on those risks that carry a higher inherent risk

Assessment approach

For questions on analysing audit risks, the recommended assessment approach is:

1. Read through the scenario and highlight the relevant **facts** that can result in audit risk (increase the chances of fraud or error in the financial statements)
2. Think of the **impact** of each fact on the **financial statements**
3. Write the answer. Ensure your answer cover the fact and the financial statements impact. Use headings to improve the layout of your answer.

Lesson 3: Planning analytical review

What is planning analytical review?

Analytical procedures are a **mandatory** risk assessment procedure at the planning stage.

Common analytical procedures at planning: comparison; ratio analysis; reasonableness tests.

How is planning analytical review performed?

- Auditor may use evidence such as client's management accounts or draft accounts
- The auditor may calculate movements or common ratios to allow appropriate analysis of the information
- Calculation can be carried out manually or through the application of audit data analytics (ADAs)

Steps to perform:

1. Set an **expectation**
2. Compare the **actual results** to the expectation
3. **Evaluate** the results
4. Seek justification for the movement with a **plausible explanation**
5. Unexplained variances may create a **potential audit risk**

Tutor tip

In the AA assessment, if you are asked to perform planning analytical procedures, there could be a variety of information sources provided within the scenario including documents, notes or minutes from a meeting with the client. You should read through this information carefully annotating anything that you think should be reflected in the financial information. For example, if the scenario states that a new contract has been entered into in the current year, you would expect revenue to increase against the prior year as a result of that information.

Where you have identified scenario information that you expect to be reflected in the financial information, you should focus on these areas first. For example, if you are told that customer credit terms have been reduced, you could either calculate trade receivables days, if not provided, or consider any analysis provided to confirm that this is reflected.

You can then focus on any other movements or unusual/unexpected changes identified from the results of the calculations.

In the AA assessment, you will likely be provided with information in relation to the client as well as a summary of the results of the initial analytical review exercise. There may also be a requirement to calculate your own expectation of a figure to complete the initial analysis.

You should undertake an analysis of the rationale, where possible, of movements identified during the analysis and identify and evaluate any potential audit risks. A common mistake is to immediately

assume there is an audit risk and fail to analyse the movement using the information in the scenario. This analysis is the key element of an analytical review and aids the auditor in informing their judgement over audit risk.

However, as noted it is important to consider if there are still any indicators of an audit risk, even if the movement has been explained, and ensure this is included within your analysis.

1. Read the scenario, highlight key information and if required, **create an expectation** using the information available.
2. **Analyse the movements**, attempting where possible, to explain the changes using the information in the scenario.
3. Using the results of your analysis in Step 2, **identify and evaluate potential audit risks** that would require further investigation by the audit team.

Lesson 4: Materiality

What is audit materiality?

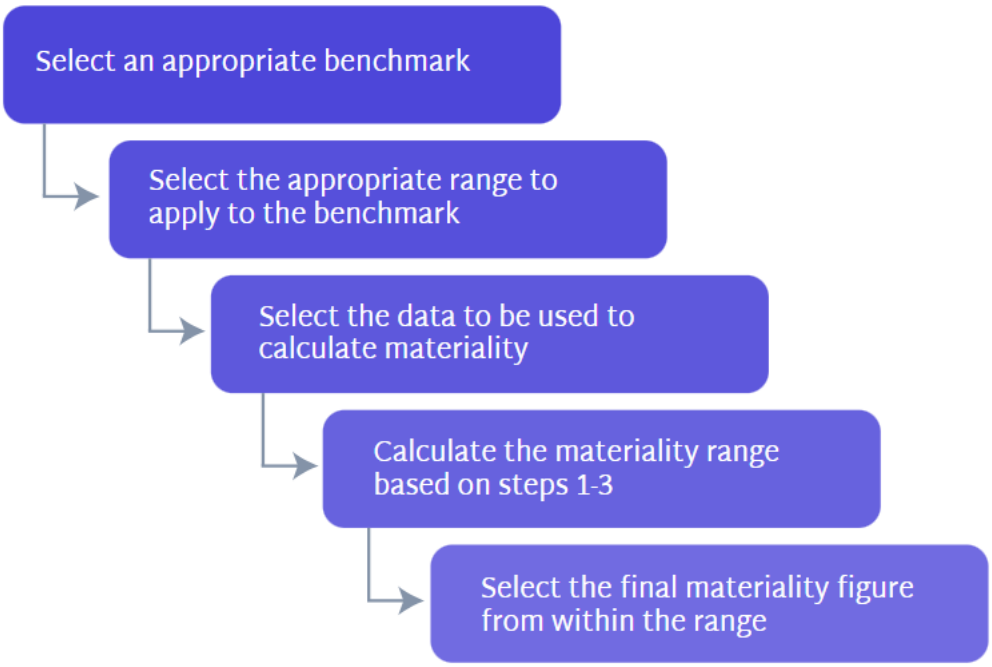
- To express an opinion on whether the financial statements are true and fair, and therefore free from material misstatement, the auditor must decide what qualifies as '**material**'.
- Materiality is referred to throughout the audit and provides a basis for:
  - Determining the nature, timing and extent of risk assessment procedures
  - Identifying and assessing the risks of material misstatement
  - Determining the nature, timing and extent of further audit procedures

Materiality is set by taking into account the common information needs of the users as a group. Both nature and value are important in considering materiality. For example, directors' remuneration may not be a material value in the financial statements but the importance of directors' remuneration and the related disclosure may make it material in nature.

Overall materiality

Materiality for the financial statements as a whole is often referred to as overall materiality.

A five-step approach can help with the calculation of overall materiality:



Tutor tip

In your assessment, it is important to fully explain the decisions made when assessing materiality. As materiality calculations are not prescribed and are subject to professional judgement, the rationale behind calculations must be documented on the audit file. Therefore, in an assessment, you should explain the reasons behind selecting the benchmark, data and final materiality figure so that the marker can understand your justification and award appropriate credit.

Setting overall materiality:

1. **Select an appropriate benchmark -** selecting an appropriate benchmark depends on several factors, including:

    a. The elements of the financial statements
    b. Whether there are items on which the attention of the users of that entity's financial statements tend to be focused
    c. The nature of the entity and the industry and environment that it operates in
    d. The ownership structure and financing of the entity
    e. The relative volatility of the benchmark

Benchmark	Examples of entity measures are appropriate for
Profit before income taxes (from continuing operations)	Profit-oriented entity in a standard industry, consistently showing profit. Normally required for public interest entities and listed entities.
Operating expenses	Public sector entity providing services based on awarded budget
Revenue	May be used for profit-oriented entities where there are fluctuations in profit before tax and revenue is more stable. Also may be relevant for not-for-profit entity that has minimal profits or is loss-making
Total assets	Property management company with value derived from asset valuations/ entities funded primarily by debt
Net assets	Investment trust company

2. **Select the appropriate range to apply to the benchmark** - the appropriate percentage is based on the auditor's professional judgement. Examples of percentages applied to different benchmarks include:

Benchmark	Percentage
Profit before income taxes from continuing operations	5–10
Operating expenses	0.5–2
Revenue	0.5–2
Total assets	0.5–2
Net assets	0.5–5

3. **Select the data to be used to calculate materiality** - the relevant data is dependent on what is available to the auditor at the planning stage and what data the auditor believes is the most representative of the expected actual financial statement figures.

    Data should be adjusted to show normalised figures. However, this should only be for exceptional one-off items and not for items that recur each year, such as amortisation of intangibles or due to a general change in trend.

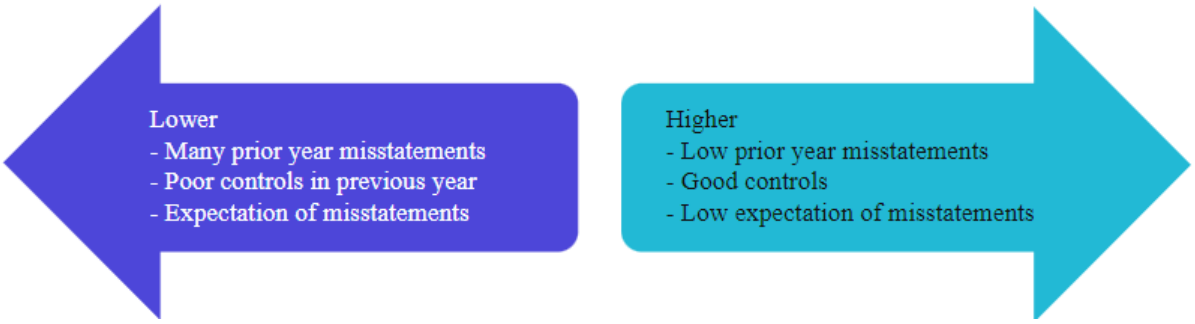
4. **Calculate materiality based on steps 1 – 3** - once the benchmark, data and percentage range have been selected, the auditor can calculate the range from within which the final materiality level can be calculated.

5. **Select the final materiality figure from within the range** - The final percentage selected will depend on the risk within the entity. Where there is more risk, a lower level of materiality should be selected. Considerations include:

    a. Whether the entity is listed or a public interest entity
    b. If it is a first-year audit
    c. Any going concern issues
    d. Any significant audit risks
    e. Any material misstatements in the past
    f. High fraud risk

What is performance materiality?

- Used to assess ROMM, design further audit procedures and determine sample sizes
- Lower than overall materiality to reduce the likelihood that total immaterial undetected/uncorrected misstatements is material
- Calculation involves professional judgement, often 50 - 75% of overall materiality



Materiality should be revised throughout the audit.

Trivial threshold

The auditor accumulates misstatements identified during the audit, other than those that are clearly trivial. 'Clearly trivial' relates to matters that are clearly inconsequential. At the planning stage, the auditor determines an amount below which misstatements would be clearly trivial and would not need to be recorded because they clearly would not have a material effect on the financial statements. Firms generally use 0 – 5% of overall materiality to determine amounts that would be clearly trivial.

Lesson 5: Responses to Assessed Risk

How does the auditor respond to assessed risk of material misstatement?

Once the auditor has assessed the risks of material misstatement, they are required to respond to the risks that they have found.

This will impact the audit approach – how they are going to obtain evidence about these risks.

Response is dependent on whether RoMM at the **assertion or FS level**

How does the auditor respond at the financial statement level?

Response to RoMM at the FS level

Fraud	• Assigning experienced staff • Considering appropriateness of accounting policies • Incorporating an element of unpredictability in testing • Increase level of professional scepticism
Control weaknesses	• Increase level of professional scepticism • Assigning experienced staff or experts • Increasing supervision • Incorporating additional unpredictability in testing procedures • Performing more testing at year end • Modifying procedures to provide more persuasive evidence • Increasing level of substantive testing
Going concern	• Ask management to make an assessment of significance of events and impact on GC • Evaluating management's method • Evaluating relevance and reliability of underlying data and assumptions • Evaluating plans for future actions • Consider any facts or information since assessment • Obtain written representations

How does the auditor respond at the assertion level?

Response to RoMM at the assertion level

- Responses at the assertion level require further audit procedures whose nature, timing and extent are responsive to the RoMM at the assertion level.
- Appendix 2 ISA (UK) 240 provides details of specific tests that may be performed in relation to fraud risks at the assertion level

Significant risks

The determination of significant risks allows for the auditor to focus more attention on these risks and perform certain required responses. These include:

- Controls that address significant risks that should be evaluated
- Controls that address significant risks that should be tested in the current period (when the auditor intends to rely on the operating effectiveness of such controls) and substantive procedures need to be planned and performed that are specifically responsive to the identified significant risk
- The auditor is required to obtain more persuasive audit evidence for these high-risk area
- Significant risks must be communicated to those charged with governance
- Timely review of audit documentation by the engagement partner at the appropriate stages during the audit allows significant matters, including significant risks, to be resolved on a timely basis to the engagement partner's satisfaction on or before the date of the auditor's report

Tutor tip

Designing the audit approach for assertion level risks is less prescribed than financial statement level risks as the approach must be tailored to the specific risk identified.

For some areas, such as related parties, fraud or laws and regulations, the ISAs provide guidance on the audit approach where a RoMM exists.

Alternatively, for other assertion-level risks you should aim to include in your approach two elements:

1. Management's procedures and controls that the auditor would understand and test
2. A high-level substantive procedure that the auditor would undertake in relation to the risk identified

You are planning the audit approach which will involve considering procedures at the systems and controls, substantive testing and completion stage of the audit and, therefore, your answer should cover the various stages of the audit.

If you are asked in the assessment to evaluate audit risks and design the corresponding audit approach, you should keep this relatively high-level. Both substantive procedures and controls will be considered in more detail later in the course.

How does the auditor respond to the risk of management override?

There will always be some risk of management override in all entities, and so the auditor must perform procedures to respond to the risk of management override of controls.

As a minimum the following procedures are required:

1. **Test journal entries** recorded in the general ledger and other adjustments, including:
   a. Making enquiries regarding unusual or inappropriate journals
   b. Selecting journal entries close to the period end
   c. Testing journals throughout the period if appropriate
2. **Review accounting estimates** for bias
3. **Understand the business rationale** of significant transactions outside the normal course of business

Lesson 6: Documentation and Communication with Those Charged with Governance (TCWG)

What are the documentation requirements at the planning stage of audit?

The objective of the auditor is to record of basis for auditor's report and evidence the audit is planned and performed in accordance with ISAs (UK) and other regulations

Specific documentation requirements in other ISAs (UK)

- ISA (UK) 240: Decision from fraud risk discussion, fraud risks, controls, responses to fraud risks, results of procedures, how inconsistencies addressed, communication to management and revenue recognition justification
- ISA (UK) 300: Overall strategy, audit plan and any changes
- ISA (UK) 315: Team discussions, UTE, evaluation of controls, risks
- ISA (UK) 320: Overall, particular and performance materiality and any changes
- ISA (UK) 330: Responses to risks, results of additional procedures

What is the audit strategy memorandum?

This is a summary of key planning information and commonly contains BSSMART:

- **B**ackground client information
- **S**ystems and controls information
- **S**taffing and key client contacts
- **M**ateriality
- **A**nalytical procedure results
- **R**isk assessment findings and procedures planned in response
- **T**imetable

Communication with those charged with governance at the planning stage

Objectives of the auditor:

A. Communicate responsibilities, planned scope and timing
B. Obtain relevant information for the audit
C. Provide timely significant observations
D. Promote effective two-way communication

At the planning stage, the auditor must communicate elements of planning with those charged with governance, including:

- Auditor's responsibilities – engagement letter
- Planned scope and timing:
  - How the auditor has addressed ROMM
  - Internal controls approach
  - Concept of the application of materiality
  - Use of experts

The communication process

- Inform TCWG of the form, timing and expected general content of communications
- Communication should be in writing if oral communication deemed insufficient
- Communications will reflect size and nature of the entity and the way TCWG operate

Assessment approach

It is important to understand that in AA, you will be required to apply your knowledge to the information given in the scenario**.**

Active reading of the case and critical evaluation of each piece of information given in the question is the main technique that needs to be applied while practising these questions.

The key techniques to remember are:

For audit risk questions:

1. Read through the scenario, highlight the relevant facts that can result in audit risk (ie increase the chances of fraud or error in the financial statements)
2. Think of the impact of each fact on the financial statements

Write the answer. Ensure your answer covers the facts and the financial statements impact. Use headings to improve the layout of your answer.

For questions on responses to audit risk:

For each audit risk identified, you need to think of a suitable risk response.

Your risk response should depend on whether it is a financial statement-level risk or assertion-level risk.

For responses at the assertion level you should consider if a specific ISA (UK) can provide guidance or alternatively include in your approach two elements:

1. Management's procedures and controls that the auditor would understand and test
2. A high-level substantive test that the auditor would undertake concerning the risk identified

For planning analytical review questions:

1. Read the scenario, highlight key information and if required, create an expectation using the information available.
2. Analyse the movements, attempting where possible, to explain the changes using the information in the scenario.
3. Using the results of your analysis in Step 2, identify and evaluate potential audit risks that would require further investigation by the audit team.

For calculating overall materiality:

Remember to follow the five steps. They are:

Step 1: Select an appropriate benchmark
Step 2: Select the appropriate range
Step 3: Select the data to be used
Step 4: Calculate the materiality range
Step 5: Select the final materiality figure from within the range

Conclusion

On completing this module, you can now attempt AAPQ 17.



Study guide checklist

Have you completed reading module 4?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 5 – Specific risk areas and the impact on the audit approach

Introduction

Welcome to the study guide for Module 5 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Evaluate the results of acceptance and planning procedures, including the use of audit data analytics to assess and determine the risk of material misstatement and impact on audit approach

This will be achieved by working towards the following performance indicators:

- Evaluate information on understanding the entity to identify risks of material misstatements in relation to the auditing standards on laws and regulations, related parties, accounting estimates, service organisations, using the work of an expert and using the work of internal audit
- Plan the approach to obtain sufficient appropriate audit evidence in relation to the auditing standards on laws and regulations, related parties, accounting estimates, service organisations, using the work of an expert and using the work of internal audit

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms from Assurance (ASR)

How does internal audit differ from external audit?

Internal audit is a function, provided either by employees of the entity or sourced from an external organisation, to assist management in achieving corporate objectives.

Among other things, the functions of internal audit include examining, evaluating and monitoring the adequacy and effectiveness of internal control.

Internal audit therefore embraces key aspects of the business: risk management, internal control and governance processes and, as a result, focuses on the business and its reporting.

The UK Corporate Governance Code highlights the importance of internal audit by stating that directors of companies that do not have an internal audit department should reconsider the need for one on an annual basis.

Lesson 2: Laws and regulations

What are the responsibilities regarding compliance with laws and regulations?

The relevant auditing standard for related parties is ISA (UK) 250.

Non-compliance may materially affect the financial statements through:

- Uncertainty over the going concern
- Fines or litigation that require adjustment or disclosure
- A breach of a required financial reporting disclosure

Compliance is the responsibility of **management**, not auditors. However, the auditor should obtain **reasonable assurance** that the financial statements are **free from material misstatement,** which includes the effect of compliance with laws and regulations relating directly to the financial statements.

Two categories of laws and regulations:

Direct effect	Laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements. The auditor's responsibility is to obtain sufficient appropriate audit evidence regarding compliance with the provisions of these laws and regulations.
Do not have a direct effect	Other laws and regulations that do not have a direct effect on the financial statements but compliance with which may be fundamental to operations of the business or non-compliance may result in material penalties or the entity failing to continue in the foreseeable future. The auditor’s responsibility is limited to undertaking specified audit procedures to help identify non-compliance with those laws and regulations that may have a material effect on the financial statements.

What are the audit procedures performed regarding auditing compliance with laws and regulations?

Audit procedures required:

Auditor's consideration of compliance	• Auditors must gain understanding of the legal and regulatory framework and how the entity complies with that framework • Enquire with management as to whether the entity complied • Inspect correspondence with relevant authorities • Obtain written representations • Remain alert
Audit procedures where non-compliance is identified	• Understand situation • If suspicions of money laundering, needs to be reported to audit firm's money laundering reporting officer (MLRO) • Evaluate the possible effect of non-compliance on the financial statements • Discuss with management (unless prohibited by law) • Evaluate the implications of non-compliance in relation to other aspects of the audit

What is the implication for audit work when non-compliance is suspected or identified by the auditor

Step 1: Obtain an understanding of the situation (the nature of the act and circumstances in which it has occurred).

Step 2: Evaluate the possible effect of non-compliance on the financial statements (for example, the imposition of fines or penalties, enforced discontinuation of operations or litigation)

Step 3: Unless prohibited by law, discuss the non-compliance with management and, where appropriate, those charged with governance (TCWG). Legal advice may also be required where insufficient information has been provided to support the entity's compliance.

Step 4: Evaluate the implications of non-compliance in relation to other aspects of the audit, including the auditor's risk assessment and the reliability of written representations.

What are the auditor's responsibilities regarding regulated financial sector entities?

A number of entities will have very specific laws and regulations that the auditor needs to be aware of as part of their understanding of the entity.

Auditors of public sector bodies such as local authorities, eg councils and health bodies, are required to have a wider regard to laws and regulations than just the potential impact of non-compliance on the financial statements. Auditors may have additional statutory responsibilities to take specific action and report on matters, such as unlawful expenditure or failure to comply with relevant laws and regulations, to the relevant auditor general for the country in which they are operating.

Lesson 3: Related parties

What is a related party?

The relevant auditing standard for related parties is ISA (UK) 550.

- A related party is an **individual** or **entity** that is related to the entity that is preparing its financial statements. A related party relationship in the following situations:
  - An individual (or close family) who controls or jointly controls an entity
  - An individual (or close family) who has significant influence over an entity
  - An individual (or close family) who is a key management personnel of an entity.
  - All entities within the same group, or associates and joint ventures related to the group.
  - An entity and its pension plan.
  - Two entities that are connected through an individual with control or significant influence.
  - An entity provides key management personnel services to another.

Why are related party transactions risky?

Related party relationships and transactions can result in higher risks of misstatement for the following reasons:

- There can be extensive and complex relationships and structures in place.
- Information systems may not effectively identify or summarise transactions
- Related party transactions may not be conducted under normal market terms and conditions (i.e. without exchange of consideration).

Auditor's objectives	• Understand related party relationships and transactions • Recognise fraud risk factors • Conclude on fair presentation of FS • Obtain sufficient, appropriate evidence of correct identification, accounting and disclosure of related parties

How is risk in relation to related party transactions assessed?

Audit procedures	• The engagement team discussion considering the ROMM due to related party relationships. • Enquiring of management about related party relationships • Understanding the controls over identifying, accounting for, disclosing and authorising related party transactions. • Remaining alert for evidence of related parties throughout the audit when inspecting records and documents. • Inspecting bank and legal confirmations and board minutes for evidence of related parties. • Inspect income tax returns, shareholder registers, records of the entity's investments, life insurance policies, etc. • Understanding related party transactions outside the entity's normal course of business.
Risk assessment	• Auditors to assess if identified related parties pose significant risk The following would automatically be significant risks: • Significant related party transactions outside the entity's normal course of business • Fraud risk factors identified when understanding related party relationships, including a related party with a dominant influence.

How are responses to RoMM in relation to related party transactions planned?

Responses to risk of material misstatement	If assessed risk is low: • Test whether these controls were operating effectively • Perform substantive analytical review of the transactions and balances

Other requirements:

- **Written representations** - obtain written representations that management has disclosed to the auditor and accounted for and disclosed all related party relationships and transactions in the financial statements.
- **Communicate** - with those charged with governance any significant matters in relation to related parties.
- **Document** - the names of identified related parties and the nature of related party relationships.

Lesson 4: Audit of Accounting Estimates

What are accounting estimates?

The relevant auditing standard for accounting estimates is ISA (UK) 540

An accounting estimate is a **monetary amount** for which the measurement, in accordance with the requirements of the applicable financial reporting framework is subject to **estimation uncertainty.**

Examples include provisions related to inventories and receivables, impairment of intangible assets and valuation of financial instruments

How do auditors assess risks of material misstatement in relation to accounting estimates?

Audit procedures	There are various ways the auditor may obtain evidence, including: • An evaluation of the process for preparing the accounting estimate, including the selection of the method, experience of the preparer, assumptions and data used. • Audit of the calculation of management's point estimate. • Review of the disclosures about the accounting estimate, including disclosures about how the accounting estimate was developed and the nature, extent, and sources of estimation uncertainty.
Risk assessment	Auditors must obtain an understanding of matters related to accounting estimates, including: • The entity's environment and applicable financial reporting framework (connected to inherent risk) • The system of internal control (connected to control risk), which includes: – The client's own risk assessment process – Management experts and the use of specialised skills – The entity's information system – How management reviews the outcome of past estimates The likelihood and magnitude of potential misstatement is impacted by: • **Estimation uncertainty** - accounting estimates are an approximation, and their measurement is uncertain. Higher degree of estimation uncertainty will result in higher risk • **Subjectivity, including management bias** – management uses judgement when developing assumptions, interpreting data and selecting measurement. The higher the level of subjectivity, the greater the risk of material misstatement • **Complexity** - determination of certain accounting estimates can be complex if they require the use of methods or models that require specialised skills or knowledge in relation to their valuation.

How do auditors respond to RoMM in accounting estimates?

Responses to risk of material misstatement	• **Obtaining evidence from events occurring up the date of the auditor's report** - e.g. reviewing a post-year end event such as settlement of a legal case • **Testing how management made the accounting estimate** - includes assessing if the method and assumptions are appropriate, the data is relevant and reliable and if there are any indications of management bias • **Developing the auditor's point estimate or auditor's range of estimates** – the auditor may form their own estimate to assess the reasonableness of managements estimate

Lesson 5: Using the Work of Others

What are the audit implications of external auditors relying on the work of service organisations?

The relevant auditing standard relating to service organisations is ISA (UK) 402

- A service organisation is a **third-party organisation** that provides services to user entities that are part of the financial reporting process e.g. payroll processing
- A **user entity** is an entity that uses a service organisation whose financial statements are being audited e.g. the audit client
- Auditor to understand how an entity uses a service organisation:
  - Nature and significance of services
  - Nature and materiality of accounts processed
  - Interaction with/delegation of authority to service organisation
  - Contractual terms/service level agreements
- Auditor to evaluate design of controls audit client implements over service organisation, including if necessary
  - Report from service organisation's auditor
  - Contact the service organisation
  - Visit and perform test of controls
  - Using another auditor

Auditor's objectives	• To obtain an understanding of the nature and significance of the services provided by the service organisation and the effect on the risk of material misstatement • To design and perform audit procedures to respond to those risks of material misstatement.
Risk assessment	Determine whether sufficient, appropriate evidence is available from records held at the user entity Perform further audit procedures to obtain sufficient appropriate audit evidence or use another auditor to perform those procedures at the service organisation
Responses to risk of material misstatement	• Tests of controls/ substantive testing at client To obtain evidence that controls at service organisation operated effectively: • Report from service organisation's auditor • Visit and perform test of controls • Using another auditor to test controls – Type 1 or Type 2 report

Relying on the work of a service auditor

In order to rely on a service auditor's report, the auditor must:

- be satisfied of service auditors **competence/independence**
- be satisfied of **adequacy of standards** used
- be satisfied that sufficient appropriate evidence over the **design and operating effectiveness** of service organisation's control activities can be obtained

The auditor **will not refer** to the work of a service auditor in the audit report unless it is relevant to the understanding of a modified audit opinion.

What are the audit implications of external auditors using the work of experts?

- The auditor may employ someone with **expert knowledge** in an area other than audit and accounting. May include valuation of certain assets, actuarial valuations or impact of climate related risks
- Employed/contracted by:
  - Client (**management's expert**) (ISA (UK) 500)
  - Auditor (**auditor's expert**) (ISA (UK) 620)

Management's expert

Specific audit procedures:

Evaluate the competence, capabilities and objectivity of that expert	Consider: • Experience of the expert • Discussions with others familiar with the expert's work • Professional certification or membership of a professional body or professional qualifications • The use of technical standards by the expert • The relevance of the expert's field and familiarity with applicable accounting standards • Any threats to objectivity, such as personal and business relationships, and corresponding safeguards
Understand the work of the expert	Consider: • Whether the expert's field has areas of speciality that are relevant to the audit • Whether standards or legal requirements apply • What assumptions and methods are used by the management expert and whether these are generally accepted for financial reporting purposes • The nature of the data or information the expert uses
Evaluate whether that expert's work is appropriate as audit evidence	Consider: • The relevance and reasonableness of assumptions and methods used • Source data used and whether it is relevant, complete and accurate • The relevance and reasonableness of the expert's findings and conclusions and their consistency with other audit evidence

Considerations when using a management's expert

Nature/complexity of the matter	Risk of material misstatement (RoMM)
Other available evidence	Expert employed by entity being audited
Nature, scope and objectives of the management expert's work	Management ability to exert control/influence over expert's work
Expert bound by standards/requirements	Controls within entity
Auditor's knowledge/experience of area of expertise	Audit team experience of area

Auditor's expert

In determining the need for an auditor's expert consider:

- Have management used an expert
- Nature, significance, complexity of matter
- Risk of material misstatement
- Expected nature of procedures

Specific auditor's procedures:

- Evaluate competence, capabilities and objectivity
- Understand field of expertise
- Agree work to be performed
- Evaluate adequacy of auditor's experts work
- Do not refer to expert in auditor's report

No reference should be made to the work of the expert in the auditor's report where the opinion is unmodified. When giving a **modified opinion**, the auditor may make **reference** to the work of an expert, if appropriate to provide clarity on the basis for modification. In such a case, the auditor must ensure they indicate this reference does not reduce their responsibility for the audit **opinion given.**

Tutor tip

You may receive information in the scenario about asset valuations, inventory items that require estimation, stage of completion for construction contracts, legal cases etc. These are likely to be areas that are complex, judgemental or involve estimation and therefore there is an audit risk that the amounts are misstated. The complexities arising from the audit of accounting estimates were discussed in previous lessons. An appropriate audit response may be to use an expert, in which case you will refer to ISA (UK) 500 *Audit Evidence* or ISA (UK) 620 *Using the Work of an Auditor's Expert*.

What are the audit implications of external auditors using the work of internal auditors?

- The relevant auditing standard for this area is ISA (UK) 610
- **Direct assistance is prohibited** in the UK. This is the use of the internal auditor function to perform audit procedures under the direction, supervision and review of the external auditor.

Auditor's objectives	• Determine whether IA work performed can be used and if so in what area and to what extent • Determine whether the IA work is adequate for purposes of the external audit
Audit planning	The IA function should be assessed considering: • Objectivity • Technical competence • Systematic and disciplined approach Restrict use of IA where: • High areas of judgement • High risk of material misstatement for particular accounts • Concerns over IA effectiveness
Timing and liaison	• The extent of the use of internal audit must be agreed in advance with management, the directors or the audit committee, as appropriate. • The testing and sampling methods to be carried out and the documentation to be produced should all be agreed in advance, as should the timing of procedures and deadlines.
Procedures to determine the adequacy of work of the internal audit function	• Making enquiries of internal audit staff • Observing procedures performed by the internal audit function • Reviewing the internal audit function's work programme, working papers and reports • Reperforming tests already performed by internal audit

Considerations for objectivity, competence and a systematic and disciplined approach include:

- The status of the internal audit function (ie reporting lines)
- Whether internal auditors are free of conflicting responsibilities

- Constraints or restrictions on internal auditors
- Membership of internal auditors of relevant professional bodies
- Whether the internal audit function is adequately and appropriately resourced based on the size of the entity and the nature of its operations
- Appropriate knowledge/training/qualifications
- Use of documented internal audit procedures or guidance
- Existence of quality control procedures on internal auditors' work (ie supervision and review)

Assessment approach

A scenario may indicate that particular laws and regulations are critical to the organisation. These may include health and safety, terms of a licence, financial services and environmental regulation. Where it is clear that a company is highly regulated and if auditors become aware of any actual or suspected non-compliance, you should refer to implications on audit work.

As with other audit risks, the relevant fact should be explained in terms of its impact on the financial statements, e.g. going concern or unrecognised liabilities/judgemental provisions and, if required, appropriate procedures should be designed in response to the risk of material misstatement.

Within an audit risk and approach question, the scenario provided may include, for example, the use of an accounting estimate, the use of an outsourced service provider, complex related party relationships or management's use of an expert. You should recognise from the scenario that there is a specific auditing standard in relation to each of these matters and refer to the requirements of the standard in preparing your answer.

You may also be asked to evaluate the strengths and weaknesses of an audit client's internal audit function and conclude on whether external auditors can rely on the work of internal audit.

For questions related to relying on the work of others (experts and internal auditors in particular), you'll often be asked to conclude on whether reliance can be placed on their work. It's important to give that conclusion as it is awarded separate marks in the AA assessment.

Conclusion

On completing this module, you can now attempt AAPQ 3.



Study guide checklist

Have you completed reading module 5?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 6 – Internal Control Testing

Introduction

Welcome to the study guide for Module 6 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Evaluate business processes and the components of internal control

This will be achieved by working towards the following performance indicators:

- Evaluate an entity's control environment and information systems
- Recommend actions, including relevant IT general and application controls, that an entity should implement to rectify deficiencies in its control environment and information systems
- Evaluate an internal audit function recommending improvements where applicable
- Evaluate the client's overall control and IT environment and consider the impact on the audit approach
- Evaluate why internal controls would be considered key controls for the purpose of the external audit
- Design audit procedures, including the use of computer assisted audit techniques and audit data analytics, to test the operating effectiveness of key internal controls
- Evaluate the results of controls testing and advise on the level of reliance that can be placed on the relevant controls
- Explain the impact of control deficiencies on the overall audit process

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key terms from Assurance (ASR)

What are the five components of a system of internal control?

Components of internal control

1. Control environment
2. The entity's risk assessment process
3. The entity's process to monitor the system of internal control
4. The information system and communication and
5. Control activities.

Direct controls are controls that are precise enough to address risks of material misstatement at the assertion level. The auditor is required to identify specific controls in the control activities component, evaluate the design and determine whether the controls have been implemented.

Indirect controls are controls that support direct controls. Having a strong control environment is an indirect control. Understanding the indirect controls (i.e. the control environment, the entity's risk assessment process and its process for monitoring the system of internal control) is important as it provides an overall foundation for the operation of the other components of the system of internal control.

Categories of control activities

1. Authorisation and approvals
2. Reconciliations
3. Verification
4. Segregation of duties
5. Physical or logical controls

What internal controls can be implemented in a computerised environment?

IT general controls (ITGCs) - apply to the whole computerised system.

Information processing controls (IPCs) - are specific to a given application and their objectives are to ensure the completeness, existence and accuracy of the accounting records and the validity of entries made in those records.

Lesson 2: Auditor's Testing of Internal Controls

How do auditors understand and document internal controls?

Understanding internal control

- The auditor must gain an **understanding** of control activities, even if not testing controls
- Includes understanding direct and indirect controls, the use of IT in internal controls and identifying key controls

Key controls – relevant to preventing or detecting and correcting material misstatements in the financial statements.

For each key control activity, the auditor:

- Evaluates the control, assessing whether it is designed effectively to address the risk of material misstatement
- Obtains evidence to determine whether the control has been implemented (that the control exists and that the entity is using it)

Documenting internal controls

The auditor can use:

- Narrative notes
- Flowcharts
- Checklists

How do auditors assess the design and operating effectiveness of controls?

Evaluating the design of controls

- Consider if the procedure will be effective in achieving the stated objectives, that is, whether the control is designed well
- The design indicates how good the control could be if consistently applied

Testing operation of controls

- The auditor must test whether the controls on which they plan to reply on operated throughout the year
  - Test operation throughout period – only effective if operates consistently
- Control testing techniques
  - Enquire PLUS inspect/observe/reperform
  - It is essential to **test the control in operation throughout the whole period** under review, focusing on specifically higher-risk time periods to ensure consistency in the control's application

CAATs and ADA

- CAATs and ADA are computer programs and data used to perform audit procedures
- Normally applied where large volume of information of highly automated processes/controls
- Controls testing – test data and audit data analytics

Tutor tip

You may be asked to review the results of controls and system analysis carried out by ADAs and evaluate their impact on audit risk and audit approach. You may be asked for examples of CAATs or ADAs when identifying tests of control.

To identify relevant CAATs or ADAs, you may find it easier to firstly think about how you would test this manually and then think about how you could use the techniques described in this lesson to do the same test.

It’s important to remember that the objective of a sound internal control system over financial reporting is to process the data (used to prepare the financial statements) completely and accurately. You should therefore think about the risks (what could go wrong) at each step of the process, from initiation of the transaction through to recording in the individual ledgers and the general ledger. Once you identify the risk, you can think of a control. Once you know the control, you can then think about how to test it either manually or by CAATs/ADAs.

You will only get marks for control tests that are relevant and reliable. Therefore, enquiry on its own will not be sufficient. You need to ensure that you use your judgement in selecting either one test or a combination of tests that are sufficiently reliable.

To ensure that you are properly writing a test, and not documenting the control, try starting the test procedures with the terminology of the techniques, for example, enquire, observe, inspect and reperform. This will ensure you are writing what the auditor should do to test the operating effectiveness of the control. A common mistake during exams is to confuse the control with the test. When writing the test, aim to include:

1. The technique (e.g. inspect)
2. The control you are looking at (e.g. sample of timesheets)
3. What you are looking for (e.g. department manager's signature to ensure hours are reviewed and authorised)

The full procedure must be documented with appropriate detail to warrant marks being awarded.

How do auditors evaluate the results of control testing?

- If controls are operating effectively, auditors can reply on controls
- If not operating as expected, may seek to test compensating controls or increase substantive testing
- A **management letter** should be sent to those charged with governance with details of the control failure, weakness or absence

How are deficiencies in controls communicated to the management?

- Any **significant deficiencies** in a client's accounting and internal control systems, and other matters including errors identified during the audit, must be reported to management and those charged with governance promptly and in writing.

Can auditors rely on control testing from prior audits?

- Test controls throughout period under review (often at **interim**)
- Can rely on control tests from prior year audit in certain situations
- Where there is a significant risk of material misstatement, or where the auditor places a high level of reliance on the control, the control should be **re-tested** each year.

Steps for designing accounting information system

Step 1: Break the business process down into phases
Step 2: Consider the objectives for that phase
Step 3: Decide on the relevant documentation for that phase
Step 4: Consider the risks that will prevent achievement of the objectives
Step 5: Design controls to address these risks

Lesson 3: The Sales System

Phase of sales cycle	Possible controls
Customer places order	• Inventory availability should be checked for all orders before accepting so that customers can be made aware of any potential delays. • Orders should be approved before processing. Approval limits should be in place based on value or bespoke variations to orders. • All new customers should be subject to a credit check before being accepted and credit limits should be set. Master file controls should be implemented on customer details file. • Pro-forma sales order forms should be completed by trained individuals in the sales team. Regular exception reporting on sequencing of documentation should be done. • Prices should be automatically included on order forms based on price listing. Master file controls should be in place around the price listing.

Phase of sales cycle	Possible controls
Order fulfilled and despatched	• Goods should only be despatched by trained staff. A regular exception report of goods despatched against sales orders fulfilled should be reviewed by the warehouse manager. • Customer should sign for delivery upon receipt, or other evidence should be obtained, that items are delivered (e.g., photo). • Goods should be agreed to the sales order details before despatch (or picking lists automatically generated based on sales order details). • Goods should be inspected by an independent member of staff before despatch, agreeing details to the sales order with quality checks in place. • All processed sales orders should be matched to goods despatch notes (GDNs) when fulfilled. Regular exception reporting on unfulfilled orders should be carried out and followed up. • Completed orders should be presented to customers for approval (for example, confirmation email).
Customer invoiced for goods and customer pays for goods	• Once an invoice is raised, the corresponding GDN is marked as 'invoiced' in the system. A regular review of unmarked (un-invoiced) GDNs should be performed. • 'Three-way-match' control. Invoices should be agreed to sales orders and GDNs before posting and processing. • Sequentially pre-numbered, pro-forma invoices should be completed by trained individuals. Regular sequence checks should be performed. • GDNs should be marked in the system as invoiced. Invoices should not be raised unless they are matched to an order and a GDN. The system should not allow a second invoice to be raised for a single GDN. • Bank reconciliations should be performed monthly by trained staff, with reconciling items followed up and investigated. • Access to online bank accounts should be restricted through passwords and all cash should be kept in a locked safe. • Regular reviews should be performed of outstanding unpaid invoices, with the credit control team responsible for following up with the customer. • Monthly customer statements should be sent to all customers, with outstanding balances at the month end. Customers should be asked to inform the client if they disagree with the balance. • Monthly reconciliation should be performed between the debtors ledger and general ledger. Reconciling items should be investigated and followed up. • Invoices should include a unique reference that must be referenced alongside payment. Payments should be matched to the invoice using the reference when received.
Overall	• Management review of budgets versus actual as part of the monthly management accounts review. • Relevant segregation of duties at each stage of the sales cycle. For example, recording of sales, maintaining customer accounts and preparing statements should be performed by different individuals. Despatching goods, recording sales, recording cash received and following up outstanding balances (credit control) should be performed by different individuals.

Tutor tip

If asked to assess an organisation's sales system (either as an external or internal auditor), the omission of one of the controls discussed previously from that system does not necessarily indicate there is a weakness. There may be other mitigating/compensating controls in place, or the uncontrolled risk may be minimal and therefore the cost of the control would outweigh the benefit.

Therefore, you should focus on the specific issues identified in the scenario such as: a poorly designed control; a control that is not operating effectively; or where the impact of a missing control has been specifically raised.

A common way of testing students' knowledge of internal control in the assessment involves evaluation of an existing information system. You may be presented with a scenario where a specific information system is described and you are expected to appraise it by:

a) Identifying facts from the scenario which result in weaknesses in the system; these may arise due to:
   i. Poorly designed controls
   ii. Controls that are not operating
   iii. Gaps where there are no controls to manage risk

b) Evaluating why each of these facts is a weakness, that is, what is the implication to the business?

c) Advising on the relevant control activities that could be implemented to mitigate/reduce the risk – providing a recommendation. Remember, such recommendations are communicated to the management through the management letter.

Lesson 4: The Purchases System

Additional controls may be required if an organisation makes upfront payments for raw material purchases:

Phase of purchases cycle	Possible controls
Place order	• Perform a credit check on the supplier to reduce the risk that payment is made and no goods are received due to the supplier organisation failing. • Have an approved supplier list to ensure risk of delays or receiving poor quality material is minimised. Quality issues which could have a knock-on impact on the quality of the product sent to the entity's customers.
Invoice received	• Invoice is only recognised if supported by an authorised purchase order and supplier confirmation. (No longer matching to goods received note (GRN) as goods have not yet been received.) • Authorisation of invoices with no GRN by manager prior to processing.
Payment of goods	• The controls would be the same as for the main credit purchases cycle, except where the payment is being reviewed to ensure that it is genuine as the invoice would not have been agreed to a GRN. Therefore, increased authorisation levels should be introduced for upfront payments.
Receive goods	• Match of paid invoices to GRNs once goods are received. A regular exception report is produced to highlight unmatched orders. This would help identify prepaid assets as well.

Services

- Purchases may involve the delivery of a service rather than receipt of physical assets (eg cleaning, external audit, consultancy etc).
- The service contract may specify time as an **input** from the service provider, such as the time to be spent by a consultant on a project, or it may specify an **output**, such as a report to be produced by an adviser.
- The phases for the credit purchase system will generally remain the same, with the exception that 'receipt of goods' will now be amended to **'receipt of service'**.

Lesson 5: The Non-Current Assets System

Objective	Possible controls
All non-current assets acquired are identified as an asset	• Maintain a FAR recording all assets acquired. • When orders are raised, these are coded by the user department as an expense or an asset. The coding is reviewed by the user department manager and the accounts department. • Policies regarding asset capitalisation are documented and communicated to staff. • Require all orders above a defined threshold to be sent to the officer responsible for maintaining the FAR, on a timely basis. This will allow assessment of whether these purchases relate to assets. • Capital expenditure recorded in the financial ledger is reviewed on a regular basis to ensure expenses are not capitalised inappropriately.
Non-current assets are accurately recorded in the FAR and the general ledger	• Asset details recorded on the FAR are comprehensive and uniquely described to allow identification. • Asset counts are conducted over a pre-determined period and compared to the asset descriptions on the FAR. • The classification of non-current assets is regularly reviewed by the finance manager for unusual items. • The value of the non-current assets recorded on the FAR is regularly reconciled to the nominal ledger on a timely basis. • Non-current assets are capitalised in line with formal policies. • A policy is documented and communicated concerning the useful lives that should be used for non-current assets. • An expert revalues and assesses the remaining useful lives of land and buildings in accordance with the requirements of the accounting standards. • Staff associated with asset management have been adequately trained. • A reasonableness test is applied to the depreciation charges on a regular/monthly basis to ensure that the charges are in line with the depreciation policy. • Additions reports are reviewed by the finance manager on a monthly basis to ensure the amounts recorded are accurate, assets have been classified correctly and the correct depreciation rates have been used.
All non-current asset disposals and transfers are identified and the FAR amended	• Procedures are documented, requiring user departments to complete asset disposal forms which are authorised and sent to the non-current asset clerk. • Disposal of obsolete or surplus assets is authorised by only a few named officers. • Fully depreciated assets are reviewed regularly to confirm they are still in use. • Perform a review of transactions within ‘other income’ and similar accounts, to identify possible mispostings of proceeds of disposals.
Senior officers are responsible for monitoring the effectiveness, cost efficiency and operational use of assets	• Senior departmental officers responsible for the proper management of non-current assets regularly receive and review details of departmental depreciation charges and non-current assets. • Regular review of assets for indicators of impairment with timely amendment to accounting records where impairment is detected. • Gains or losses made on disposal of non-current assets are monitored as an indication that assets' useful lives may be inaccurate. • Procedures and policies are established regarding the use of assets within the company to ensure their use is efficient.

Lesson 6: The Payroll System

Objective	Possible controls
Phase 1: Engagement/ termination of employees and maintenance of master data (HR)	
Only genuine employees of the organisation are included and, therefore, paid.	• All new employees must complete a new employee form (including personal details) and have that form approved by the department manager and HR manager. This form is the basis of input to the master file. Segregation of duties between hiring, processing and payments of wages and salaries is a key control for reducing the risk of fake employees. • Review of departmental headcount reports compared to master file records.
Joiners/ leavers must be added/ removed from the system in a timely manner.	• Confirmation from the HR manager to the department manager on receipt of the new employee form and upload to the master file, with regular follow up by the department manager for any unprocessed new employees. • Proforma for joiners/leavers signed by the department manager and sent to the HR manager, with relevant start/leaving dates. • Edit reports (i.e. the list of changes and edits) automatically generated monthly and reviewed and followed up by the HR manager against joiner/leaver confirmations.
The security of payroll data is adequately maintained.	• Master file controls should be in place over the HR master file. For example, one-to-one checking of payroll master files to individual employee personal files can be done on a regular basis. • Similarly, all changes to an employee's personal details which are usually contained on a master file must be done in writing and approved by both the employee and the line manager.
Phase 2: Work done and time recorded (production department)	
Only genuine work done (including overtime) is recorded.	• Any hours or overtime worked should be recorded through a timesheet system (can be automated through employees clocking in/ out electronically). Hours/ overtime should then be approved by the department manager. • Actual vs budget comparisons of hours by department manager.
Work done is recorded accurately.	• Employee hours recorded are reviewed on a daily basis by the department supervisor who undertakes a reasonableness check of hours worked, e.g. comparison of actual to budget. • Automating the system of clocking in/ out where possible to avoid errors in recording or intentional manipulation.
Phase 3: Calculation of payroll liability (payroll department)	
The payroll run is calculated correctly with respect to both employee payments and tax liabilities.	• Data is sourced from payroll master files on pay rates, deductions etc. and approved hours worked. Payroll is calculated by trained staff and is subject to review by the payroll manager. • System-generated exception reports are reviewed by payroll staff and investigated for reasonableness. These are a key control if set up correctly as they can identify instances such as where an employee's salary has increased by more than a pre-decided percentage, or if two employees have the same bank account, for example (indicating a possible fictitious employee).
Payroll expense and liabilities are recorded correctly.	• Payroll reconciliation between the payroll listing and nominal ledger, performed monthly, with reconciling items followed up. The reconciliation should be reviewed. • Review and authorisation of payroll journals before posting. Access control for posting of journals should be limited to senior authorised officials only.

Objective	Possible controls
Phase 4: Payment of payroll liability (payroll department /accounts department)	
Payroll payment is accurate and authorised.	• BACS transfer document is downloaded from the payroll system and reconciled to the payroll listing by the payroll staff. Documents are signed to provide evidence of review. • The director signs a copy of the BACS transfer form as evidence of their approval, after agreement to supporting documentation. • The BACS confirmation is reviewed and reconciled to the BACS transfer file on receipt.
No duplicate payments are made.	• Payroll listing marked as 'paid' once payment is made. The system will not allow payments to be processed twice.
Payment to HMRC and employees is on time.	• Payroll calendar completed, including all relevant deadlines available to all payroll staff.

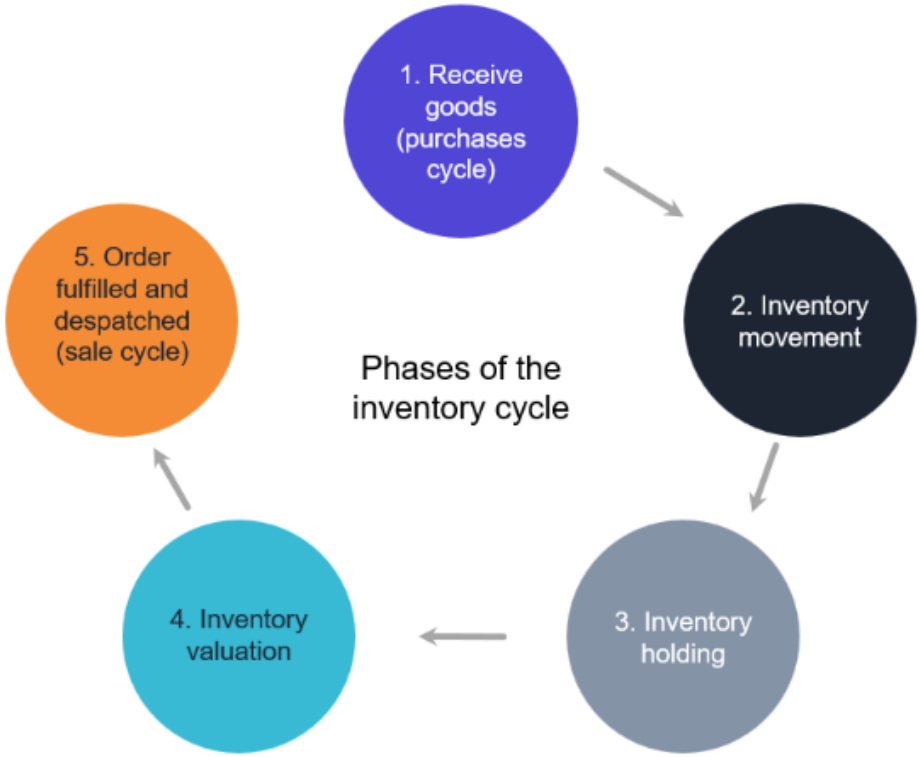
Outsourcing payroll

Many organisations outsource their payroll to a service provider that calculates payroll based on information provided by the company.

While this third party is completing some of the process on behalf of the organisation, the organisation should have controls in place to ensure:

1. Information passed to the service provider is accurate, valid and complete
2. Processed information received from the service organisation is correct and appropriate

Lesson 7: The Inventory Management System



Inventory counts

- Considered a key control over the completeness and existence of inventory records
- Where inventory is material, auditor must obtain evidence over existence and condition
- ISA (UK) 501 – Evidence over inventory gained by:
  - Attending inventory counts
  - Testing if final inventory records reflect count

Perpetual inventory counting

For some organisations, there may be factors, such as resource availability, which impact the feasibility of performing a full year-end count. In such instances, a business may perform **perpetual inventory counting**, where **samples** of inventory are counted on a regular basis, with system figures being amended to reflect the physical count figures in real time.

Attendance at inventory counts

- Auditor needs to plan the timing of visits, locations to be visited and extent of test counts/procedures. Includes consideration of:
  - **Risk of material misstatement** (ROMM) of inventory
  - Nature of **internal contro**l related to inventory
  - Whether **adequate procedures** are expected to be established and **proper instructions** issued for physical inventory counting
  - Whether the entity maintains a perpetual inventory system
  - The **locations** at which inventory is held
  - **Materiality** of inventory at different locations
  - Whether an **expert** is needed to help with measurement of the inventory
  - The results of any **internal audit findings**
  - Consider if there is any **consignment stock** held by the client
- During attendance at inventory count, the auditor must:
  - Evaluate management's procedures for recording and controlling the results of physical inventory counting
  - Observe performance of management's count procedures
  - Inspect inventory. This ascertains existence and helps identify obsolete or damaged inventory.
  - Perform test counts. This includes tracing items from management's count records to inventory and vice versa.

After attending the inventory count

After the inventory count, auditors will follow up the counts attended to compare quantities counted by them with the inventory records, obtaining and verifying explanations for any differences, and checking that the client has reconciled count records with the accounting records.

Perpetual inventory counting

- Where client performs perpetual counts, auditor should attend one or more counts
  - Review procedures/controls used during the year
  - Perform tests of control
- If counts produce differences, auditor should consider asking client to perform a full year end count

Tutor tip

You will need to know the standard procedures for attending an inventory count. For a given scenario, you will be expected to apply relevant procedures and tests of control. For example, if it is a perpetual inventory count, you will need to consider the normal tests performed for attendance at an inventory

count, as well as the other tests over controlling the perpetual counts and assessing effectiveness. You may be given specific problems at the count and would be expected to tailor general procedures to these specific circumstances.

Controls over inventory counts are basic audit procedures that are common across many audits and, therefore, should be known in detail.

Lesson 8: Internal audit

What is the function of an internal audit department?

Many organisations choose to have an internal audit function as the board wants assurance that the management and control of the organisation are robust.

Some common types of internal audit were discussed in ASR and include financial audit, systems audit, value for money audit, operational audit, post-implementation review, compliance audit, special investigations into fraud etc.

Tutor tip

An assessment question may require you to recommend specific types of internal audit reviews that the internal audit department could carry out. When asked for specific reviews, it is important to utilise the information in the scenario, as well as any other requirements attempted, to ensure you recommend reviews that are relevant.

For example, if you have been required to evaluate a specific process within the question, eg payroll, and provide recommendations, the internal audit department could carry out a follow up of the implementation of these recommendations by management.

What factors need to be considered when evaluating the effectiveness of an internal audit function?

Evaluating the internal audit function

1. **The internal audit process** – preparation of the plan; the internal audit report; follow up actions
2. **The role of the audit committee** – includes monitoring and reviewing the effectiveness of the company's internal audit function
3. **Resource and competence** – expect internal audit manager to be qualified, experienced and a member of the Institute of Internal Auditors
4. **Independence** – reporting to the audit committee; audit plan approval; internal audit manager appointment; remuneration; no operational involvement; position and status
5. **Quality assurance** – adherence to standards; external review

Assessment approach

For questions on controls where the auditor may test operating effectiveness

To identify controls which are relevant to the auditor, you should think about whether the control is useful in preventing or detecting material misstatements, and whether the control is designed effectively.

When designing a test of control, remember to include the following:

1. A technique (e.g. inspect)
2. The control you are looking at (e.g. sample of timesheets)
3. What you are looking for (e.g. the department manager's signature to provide evidence that hours are reviewed and authorised)

For questions on control weaknesses

You may be asked to identify a control weakness, explain the implication of this and suggest a recommendation to improve the control.

Step 1: Start by identifying **facts** from the scenario which indicate a control weakness. Highlight the facts as you read through the case.

Step 2: Once identified, you need to explain '**why**' it is a weakness (i.e. what implication could that weakness have for the business and the financial reporting process).

Step 3: Recommend a control that can reduce the risks.

Conclusion

On completing this module, you can now attempt AAPQ 6, 14 and 19.



Study guide checklist

Have you completed reading module 6?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 7 – Substantive Analytical Procedures

Introduction

Welcome to the study guide for Module 7 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Design substantive procedures including substantive analytical procedures and tests of detail, incorporating the use of data analytics, and conclude based on evidence received.

This will be achieved by working towards the following performance indicators:

- Design substantive analytical procedures, including audit data analytics.
- Evaluate the findings from substantive analytical procedures, including audit data analytics, and determine the items to be followed up.

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms From Assurance (ASR)

What evidence collection techniques can be used during substantive testing?

1. **Analytical procedures**: This is an evaluation of financial information by a comparison of financial and non-financial data and the investigation of significant differences and relationships which are inconsistent with other information. The level of assurance that can be gained from performing analytical procedures varies as it depends on the effectiveness of underlying controls and the integrity and completeness of data.
2. **Enquiry**: This means seeking information from those within or outside the entity. The level of assurance is low as this can be subjective and is therefore normally insufficient on its own.
3. **Inspection**: This is the examination of records, documents and tangible assets. The level of assurance depends on the effectiveness of controls in place to generate the information being inspected.
4. **Recalculation**: This involves verifying the arithmetical accuracy of documents or records. The level of assurance is generally high as these procedures are normally performed under the control of the auditor.
5. **Confirmation**: This involves obtaining representations directly from a third party. In terms of level of assurance, generally, evidence from an independent knowledgeable third party is more reliable than that from a source closely connected to the audited entity.

Lesson 2: Substantive Analytical Procedures

What factors need to be considered while designing and performing substantive analytical procedures?

Types of substantive analytical procedures include:

- Comparison
- Ratio analysis
- Reasonableness test (proof in total)
- Trend analysis
- Large and unusual items review

Stages for analytical procedures include:

- Forming an **expectation**
- **Comparing** the expectation to the **actual results**
- Investigating and corroborating any significant **variance**
- Concluding whether **sufficient appropriate evidence** has been obtained

You will be expected to APPLY the above steps to a given scenario in the AA assessment.

Factors to consider when designing and performing substantive analytical procedures:

1. The **suitability** of particular analytical procedures for given assertations – substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time.

2. The **reliability** of underlying data - consider:
   - The **source** of data
   - The **comparability** of data
   - The **nature** and **relevance** of data
   - The **operating effectiveness** of the **controls** over the preparation of internally produced data.
   - **Prior year knowledge** and understanding

3. Developing an **expectation** – must be sufficiently precise to identify a material misstatement. Consider:
    - The accuracy with which the expected results of substantive analytical procedures can be predicted.
    - The degree to which information can be disaggregated.
    - The availability of reliable information, both financial and non-financial

    Information that auditors may use to form an expectation includes:
    - Management accounts
    - Prior year information adjusted for current year trends
    - Known interaction between financial data
    - Known interaction between financial and non-financial data
    - Discussions with management

4. Determining the amount of difference from the expectation that can be **accepted** without further investigation
    - Threshold or tolerable error is set using auditor judgement
    - The auditor's determination of the amount of difference from the expectation that can be accepted without further investigation is influenced by materiality

The auditor will then follow up any significant differences between the expectation and the actual balance.

Designing and performing substantive analytical procedures in the Advanced Assurance (AA) assessment

Depending on the requirement, you may be expected to:

Step 1: Calculate the expectation.
Step 2: Compare the expectation to what is actually recorded, assessing whether the difference is below the accepted deviation or whether further procedures are required
Step 3: Conclude on which balances require further investigation.
Step 4: Design the follow-up procedures (this will be covered in more detail in Module 8)

Lesson 3: Incorporating Technology in Substantive Testing

How can CAATs and ADA be used in substantive testing?

CAATs – Computer-assisted audit techniques.

ADA – Audit data analytics.

Examples of using ADA at the substantive testing phase include:

- Detailed recalculations of depreciation on fixed assets by item, either using approximations (such as assuming sales and purchases are mid-month) or using the entire data set and exact dates.
- Analysis of capital expenditure versus repairs and maintenance expenditure.
- Inventory ageing to evaluate how many days inventory is in stock by item. This would help in valuing inventory.
- Receivables ageing and evaluation of overdue debt over time (customer-wise).
- Analysis of revenue trends split by product or region.
- Analysis of gross margins and sales, highlighting items with reducing or negative margins.

CAATs and ADA can be used for collecting and analysing audit evidence as part of substantive testing.

The tests performed are commonly summarised as:

1. **Sample selection**
   - Selection of manual journals for testing from criteria established by the auditor.
   - Sample selection – statistical sampling, where there are large volumes of data, or key item sample selection, where items are selected based on meeting particular criteria such as size or customer code.
2. **Summarisation**
   - Supporting substantive analytical procedures
   - Analytical review and analysis/disaggregation of data
   - Analysing contracts for key areas of consideration or terms.
   - Manipulating data to assess the impact on different assumptions (derivatives valuation or impairment modelling).
3. **Computation/recalculation**
   - Recalculation of fixed asset depreciation using records of assets held, additions and disposals.
   - Recalculating the VAT portion of revenue to ensure it has been removed correctly.
   - Casting schedules.
4. **Re-performance**
   - Reperform debtors ageing to confirm accuracy of the ageing report as this will be used to calculate the bad debt provision and to select a sample of overdue debtors for testing.
   - Ensure that payments were made only to real employees by checking their employee card details against information in their personnel files.
   - Comparing entity data to externally obtained data, for example, bank account balances.
   - Comparing valuations of investments in other entities/financial instruments etc to external third-party sources.

Tutor tip

These tests can be used as a prompt to be more creative when designing different types of tests, and to consider whether too many of the same type have been used. You should always try to use specific analytical procedures as well as other tests.

Practical application of CAATs and ADA

The auditor will perform procedures over the data to be used, including checks over its completeness, accuracy and validity.

These will be performed over data input into the auditor's software as well as the outputs produced by the ADA.

Conclusion

On completing this module, you can now attempt AAPQ 1 and 21.



Study guide checklist

Have you completed reading module 7?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 8 – Substantive Procedures – Part 2

Introduction

Welcome to the study guide for Module 8 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Design substantive procedures including substantive analytical procedures and tests of detail, incorporating the use of data analytics, and conclude based on evidence received

This will be achieved by working towards the following performance indicators:

- Design and evaluate substantive testing audit work programmes
- Design tests of detail, including computer assisted audit techniques (CAATs) and audit data analytics (ADAs)
- Design tailored substantive procedures in response to findings arising during the audit process

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms from Assurance

What are tests of detail?

We learned in Assurance that substantive procedures may include either (or both):

- Substantive analytical procedures
- Tests of detail

How do you design a test of detail audit procedure?

A **test of detail** involves testing specific items within a population. Should be written using the format:



Verb – refers to the testing technique to be used in the substantive procedure. The techniques that may be applied to tests of details are:

- Enquiry
- Inspection
- Recalculation
- Confirmation

Population – this refers to where the items to be selected for testing may be obtained. Could be a listing of transactions making up the total balance, or a folder of documentation.

Source evidence – must be reliable and relevant. Can include documents, physical items, calculations or discussions with management or other third parties.

Activity – describes what the auditor is going to use the evidence for and look for to confirm the items selected for testing.

Lesson 2: Designing a Substantive Testing Audit Work Programme

How do you design a substantive testing audit work programme?

Use the six-step approach:

1. **Risk of material misstatement (ROMM)**
   - Should refer to audit risk assessment performed in planning
   - Consider key assertions
   - For accounts with low ROMM, the auditor may only perform substantive analytical procedures
   - For accounts with higher ROMM the auditor will carry out tests of details

2. **Approach**
   - Can test movements which have given risk to the balance (non-current assets and liabilities)
   - Can test closing balances directly (current assets and liabilities)

3. **Accounting policies** – need to understand:
   - The requirements of the accounting standards in relation to a particular account
   - The accounting policies applied by the audited entity in calculating the figure
   - The entity and its operations (understanding gained during audit planning) to assess whether the policies are appropriate and to identify all aspects of the accounting standards to consider.

4. **Assertions**
   - Must cover all relevant assertions

Account balances and related disclosures	Classes of transactions and related disclosures
Existence (E)	Occurrence (O)
Rights and obligations (R&O)	Completeness (C)
Completeness (C)	Accuracy (A)
Accuracy, valuation and allocation (AVA)	Cut-off (CO)
Classification (Cl)	Classification (Cl)
Presentation (P)	Presentation (P)

   - Some assertions are higher risk than others for particular accounts:

Account type	Key assertions	Reason higher risk
Assets	Existence Accuracy, Valuation and Allocation (AVA)	The key risk in relation to assets is overstatement, to show a larger net asset position on the balance sheet. Therefore, there is a higher risk that management will include assets that do not exist or include assets at an amount above fair value.
Liabilities	Completeness	The key risk in relation to liabilities is understatement, to show a larger net asset position on the balance sheet. Therefore, there is a higher risk that management will not include all liabilities (i.e. liabilities will be incomplete).
Transactions	Cut-off Occurrence (credit transactions) Completeness (debit transactions)	The key risk in relation to transactions is overstatement of revenue (and other credit transactions) and understatement of expenses (and other debit transactions, to show a larger profit). Therefore, there is a higher risk that transactions will not be recorded in the correct period, will be falsely included (credit transactions), or incorrectly omitted (debit transactions).

5. **Common procedures**
   - Commonly undertaken for that account balance

6. **Standard tests**
   - The auditor should perform some standard procedures to confirm that the schedule/sub-ledger is appropriate as a basis for gathering audit evidence

Standard test	Work required
Opening balances	Agree to prior year audited financial statements. • Note for profit and loss accounts the opening balance should be 0. • Where it is the first year an auditor is performing the audit, additional procedures will be performed on opening balances to confirm these are correct. These will be covered later in the module.
Cast schedules	Cast (add) supporting schedules to test their accuracy.
Closing balance: TB to FS	Confirm that the closing balance of the supporting schedules agrees with the trial balance and final financial statements.

How do you design substantive procedures for testing Property Plant and Equipment (PPE)?

1. **ROMM**
   - A key focus for PPE is often valuation due to complexity and judgement
   - Higher ROMM assertions - AVA

2. **Approach – test the movements**
   - Additions
   - Disposals
   - Depreciation
   - Revaluations
   - Impairments
   - Also consider leased assets and 'Own Work Capitalised'

3. **Accounting policies**
   - The cost includes its purchase price, import duties, non-refundable VAT, and costs directly attributable to bringing the asset to the final location and condition and is net of discounts or refunds.
   - Annually, the value is measured at cost less accumulated depreciation and accumulated impairment losses.
   - Where revaluations take place, these should be made with sufficient regularity and include all items within the same class of assets.
   - Where there are indicators of impairment, an impairment review should be carried out

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures**

Areas for testing	Assertions	Explanation
Physical verification (sheet-to-floor and floor-to-sheet)	E, C	Physically verify a sample of assets on the PPE register to confirm they exist and agree a sample of assets inspected to the PPE register to agree the PPE register is complete.
Repairs and maintenance review	C, CI	Inspect a breakdown of the repairs and maintenance charges incurred in the period to identify any items expensed in error. Trace to purchase invoice to confirm the nature of the expense.
Depreciation reasonableness test	AVA	Calculate an expectation of the depreciation expense of each category of PPE based on the depreciation policy. Compare to actual depreciation expense and investigate major differences. ADAs may be used for complex depreciation calculations.

6. **Standard tests**
   - Agree brought forward balances to last year's audited accounts
   - Cast and cross-cast the PPE movement summary and underlying asset listings using CAATs
   - Verify PPE is disclosed in accordance with IAS 16 *Property, Plant and Equipment* via a disclosure checklist
   - Verify that accounting policies are reasonable, and consistent year on year and outline all accounting standards
   - Agree on the PPE register or PPE movement schedule to the trial balance and financial statements

Tutor tip

In the assessment, you will not necessarily be required to prepare an audit work programme but may just be asked to prepare a list of tests or procedures. In this case, you would not be required to list the assertion for each test.

However, it is fundamental that you understand the assertions relevant to each test and so it is good practice to include this in your studies.

Lesson 3: Specific Accounts and Considerations

How do you design substantive procedures for testing trade and other receivables?

1. **ROMM**
   - A profit making entity will want to present a strong statement of financial position and may overstate assets
   - Higher ROMM assertions - E, AVA

2. **Approach** – test the closing balance
   - Due to high volume of movements

3. **Accounting policies** – trade receivables should only be recorded as an asset if it is believed that the balance will be recoverable. Accounting impacted by:
   - Invoice raised on dispatch of goods
   - Cash received
   - Provisions/write-down
   - Discounts
   - Credit notes
   - Foreign currency translation

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures**
   - Performing a trade receivables circularisation
   - Subsequent cash testing
   - Testing the allowance for doubtful debts

Testing allowance for doubtful debts

Procedures
- Review of aged trade receivables report
- Reasonableness of policy relating to the allowance for doubtful debt
- Post-year-end credit notes
- Subsequent cash testing

Other receivables

An audited entity's financial statements will normally include other receivables such as prepayments and accrued income and employee loans.

These will normally be tested through:

- Substantive analytical procedures
- Agreeing to supporting documentation (eg invoices and funding documentation)
- Reviewing subsequent events

How do you design substantive procedures for testing inventory?

1. **ROMM**
   - A profit making entity will want to present a strong statement of financial position and may overstate assets
   - Higher ROMM assertions - E, AVA

2. **Approach** – test the closing balance
   - Must gain assurance over the quantity and value

3. **Accounting policies** – inventory must be measured at the lower of cost and net realisable value (NRV). Consider:
   - quantity of inventory held
   - components of inventory
   - whether inventory valuation complies with IAS 2
   - NRV

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures**
   - Follow-up tests performed at the inventory count
   - Cut-off testing
   - Cost vs. NRV testing
   - Testing the inventory provision

   Cost vs NRV – auditor must test both cost and NRV. Be alert to situations such as:

   - Product line was replaced by another model
   - Poor quality/ damaged/faulty inventory
   - Changes in legislation that render a product unusable or increase production costs
   - Obsolescence (ie technical innovation)
   - Management decision to reduce pricing to remain competitive
   - Adverse exchange rate movements
   - Poor inventories management
   - Reduction in sales volumes, requiring sales prices to be discounted

   Testing the inventory provision

   - Inventory provision is often prepared using an aged inventory listing
   - Auditor can identify items at risk of obsolescence and use this as a basis to assess whether the provision is reasonable
   - Size and method to calculate the provision should be compared to previous periods for reasonableness

Tutor tip

As well as designing procedures yourself in an assessment, you could be asked to evaluate procedures that have already been prepared by another member of the team. You should consider whether the procedures detailed:

- are reliable
- address all the relevant risks and assertions, or whether items are missing
- can be followed by another member of the team, or whether more detail is required (remember verb, population, evidence, activity)
- include all evidence available

How do you design substantive procedures for testing investments?

1. **ROMM**
   - Main risks are around valuation (impairment) and presentation (for those held as long-term)
   - Higher ROMM assertions - AVA, P

2. **Approach** – test the movements, but also assess valuation of closing balance
   - Additions
   - Disposals
   - Valuations
   - Impairments

3. **Accounting policies**
   - Need to be recorded at fair value (may be estimates for unlisted investments)

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures** – no specific common procedures

Some example substantive tests of details for investments are:

Procedure	Assertion(s) tested
For a sample of investment additions taken from the investment listing, inspect board minutes, third-party confirmations and other supporting documentation to confirm that the amount recognised is correct (AVA), that the transaction actually happened (E), that they are owned by the company (R&O) and that they have been classified correctly within the listing as either listed or unlisted investments. (CI)	AVA, E, CI, R&O
Select a sample of share certificates (or other investment records) held by the entity and inspect the investment listing to verify that these have been included	C
Inspect board minutes for evidence of disposals or additions of investments and agree that they have been removed from or added to the investment listing as appropriate.	E, C
For a sample of disposals taken from the investment listing, inspect bank statement and sale documentation to agree the cash receipts and the number of shares sold to verify that the number of shares recorded as disposed of is accurate and that the disposal took place.	C, AVA
Select a sample of investments from the investment listing and enquire of management about the purpose of these investments and their intent to hold the investment for more than 12 months. Confirm this by inspecting board minutes for evidence of intent regarding these investments.	P, CL
Inspect management's investment impairment indicator assessment and consider if this is in line with the auditor's understanding. Where impairment indicators/triggers are noted, obtain managements impairment calculation, review the underlying assumptions for reasonability and re-perform the calculation for accuracy.	AVA
Verify share prices of listed investments held at year-end per the investment listing, to a reputable third-party source to confirm that the value is accurate in the financial statements.	AVA
For a sample of unlisted investments taken from the investment listing, consider the reasonableness of the valuation per share by inspecting the accounts of the investee company to assess whether the carrying value should be written down.	AVA

How do you design substantive procedures for testing bank and cash?

1. **ROMM**
   - Will depend on nature of audited entity
   - Consider susceptibility to theft, volume of bank accounts, incorrect netting of overdrafts
   - Higher ROMM assertions - E, C, P

2. **Approach** – test the closing balance
   - Obtain third-party evidence from audited entity's bank

3. **Accounting policies**
   - Any right of set-off

4. **Assertions** – R&O, E, C, Cl, AVA, P

5. **Common procedures**
   - Testing the year-end bank reconciliation
   - Testing the bank confirmation letter
   - Physical verification of material cash balances
   - Verifying foreign currency rates used for FX accounts to independent sources, and recalculating the translation

How do you design substantive procedures for testing current and non-current liabilities?

Trade payables, GRNI accrual, accruals and deferred income, Vat and social security, provisions for liabilities, loans payable

Current (due < 12 months) vs non-current due > 12 months

Tutor tip

How the auditor approaches substantive testing of trade payables often overlaps with other liabilities recorded in the financial statements. When studying this section focus on understanding the principles as these will apply to other liabilities also.

1. **ROMM**
   - Due to impact of liabilities on the balance sheet, completeness, classification and presentation are high-risk
   - Higher ROMM assertions - C, Cl, P

2. **Approach** – test the closing balance
   - Due to high volume of movements

3. **Accounting policies** – considerations include:
   - A liability should be raised when inventory is received
   - Once an invoice is received, a trade payable is recognised and (if relevant) the GRNI accrual removed
   - Cash payments reduce the trade payables balance
   - The valuation of the liability should be based on an estimate of the expected cash outflow. Therefore, the value of creditors should be adjusted for any discounts the client is entitled to as this will impact the cash outflow
   - Credit notes received will reduce the trade payables/GRNI balance
   - Foreign currency balances should be restated at the year-end exchange rate

4. **Assertions** – R&O, E, C, Cl, AVA, P

5. **Common procedures**
    - Search for unrecorded liabilities
    - Payables circularisation
    - Supplier statement reconciliations

How do you design substantive procedures for testing equity and reserves?

- Auditor often tests the movements within the disclosure note within the financial statements.
- For private companies normally low risk, however for public companies movements in share capital and reserves can be large making it a more complex audit area

How do you design substantive procedures for testing intangible assets?

Examples include development expenditure, patents, computer software, licenses, franchises

1. **ROMM**
    - Accounting treatment and valuation is complex
    - Higher ROMM assertions - AVA

2. **Approach** – test the movements
    - Additions
    - Disposals
    - Amortisation
    - Revaluations
    - Impairments

3. **Accounting policies**
    - **Research** – costs not permitted to be capitalised.
    - **Development** – costs only recognised if can demonstrate six criteria:
        - Technical feasibility
        - Intention to complete
        - Ability to use or sell
        - Commercial feasibility
        - Adequate resources
        - Ability to reliably measure

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures**
    - Inspect invoices and agree the costs capitalised during the period to invoices to determine whether they relate to development expenditure and agree the amount capitalised
    - Inspecting expenses listings for any significant invoices paid but not capitalised
    - Inspecting the research expense account for items that may be related to development costs and should be capitalised as an asset and vice versa
    - Recalculating the amortisation charge for the period
    - Inspecting sales made post-year-end to determine whether the valuation of the intangible has suffered an impairment
    - Compare actual costs to budgeted costs to determine if there is any indication that costs have been over or under-capitalised

How do you design substantive procedures for testing estimates?

ROMM for estimates is normally high due to:

- Estimation uncertainty
- Subjectivity, including management bias
- Complexity

Example procedures include:

- assessing whether the method selected is appropriate in line with the relevant financial reporting framework
- whether assumptions made are appropriate
- whether data used is appropriate, relevant and reliable and has been properly maintained
- whether data has been appropriately understood or interpreted by management, including the presence of appropriate skills and knowledge to prepare the estimate
- whether there are any indications of management bias
- an expert may be used

Responses available to the auditor:

- obtaining evidence from events occurring up to the date of the auditor's report
- testing how management made the accounting estimate
- developing the auditor's point estimate or auditor's range of estimates

How do you design substantive procedures for testing provisions and contingencies?

Provision – liability of uncertain timing or amount

- Only recognised when following three criteria satisfied:
  - Entity has present obligation as result of past event
  - Probably outflow of economic resources is required
  - Reliable estimate can be made

Procedures to perform to test provisions include:

- Enquiries of management and others within the entity
- Inspection of board meeting minutes
- Inspection of correspondence with solicitors
- Examination of legal expense accounts
- Direct communication with the entity's legal counsel where there is a ROMM (these are often called solicitors' confirmations)

Contingent asset – possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity

Contingent liability:

- is a **possible** obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within control of the entity; or
- is a **present** obligation that arises from past events but it is not recognised because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Examples: guarantees; charges held by 3rd parties; litigation (undecided); warranty liabilities

How do you design substantive procedures for testing derivatives?

Financial instrument – a contract that gives rise to both a financial asset of one entity and a financial liability or equity instrument of another entity.

Type of financial instrument – examples include options, futures, forward contracts, interest rate swaps and currency swaps

The value of a derivative depends on, or is derived from, an underlying rate or price such as interest rates, exchange rates or commodity prices.

1. **ROMM**
   - Accounting involves complexity, use of management judgement and requires specific presentation in the financial statement notes
   - Higher ROMM assertions - AVA, CI, P

2. **Approach** – test the closing balances
   - Measured at fair value through profit or loss (FVTPL)

3. **Accounting policies**
   - The nature of the derivative and the risks the entity is exposed to
   - Classification/ presentation requirements under accounting standards
   - Accounting standard requirements over valuation (FVTPL)

4. **Assertions** – R&O, E, C, CI, AVA, P

5. **Common procedures**
   - external confirmations
   - review of reconciliations and operational data such as reconciliation differences
   - review journal entries
   - review contracts
   - testing of assumptions and fair value adjustments
   - post year end events
   - validity of valuation models
   - confirmation of external prices to third-party sources

How do you design substantive procedures for testing the statement of profit or loss?

Areas to be tested include:

- Turnover/revenue
- Cost of sales/expenses
- Depreciation
- Payroll

Revenue recognition

- Normally identified as a risk by the auditor and occurrence and cut off of revenue can be a key audit risk area, especially if there is any risk of fraud.

Response to fraud risk in revenue recognition:

- Confirming directly with customers the details of relevant contracts
- Being physically present at period end to observe goods being shipped
- Using automated tools to perform disaggregated substantive analytical procedures

Revenue from contracts with customers

- When auditing revenue from contracts with customers, the auditor should test whether the five criteria in IFRS 15 have been met:
  - Identify the contract(s) with a customer
  - Identify the performance obligations in the contract
  - Determine the transaction price
  - Allocate the transaction price to the performance obligation(s) in the contract
  - Recognise revenue when (or as) the entity satisfies a performance obligation

Lesson 4: Designing Follow-Up Substantive Procedures

Follow up on substantive analytical procedures

Tailored tests of detail may be required to corroborate any explanations for variances between actual and expectation identified by the auditor following substantive analytical procedures. Further follow up tests may also be required of a plausible explanation has not been identified

Tutor tip

In the assessment, you may be asked to:

- Respond to identified audit risks, outstanding matters, or other events identified during the audit
- Evaluate audit risks and design an approach to your identified risks
- Design follow-up procedures for material variances discovered as a result of substantive analytical procedures

In all instances, you can use the skills learnt in this module to help you answer the requirement. You must design relevant and tailored procedures to address the area you have been presented with.

You can use the considerations covered in this lesson regarding risk, accounting policies, and common procedures to help you design the procedures required.

Lesson 5: Comparatives and Opening Balances

Requirements for testing comparative and opening balances in the financial statements

Continuing engagements

The auditor must obtain sufficient appropriate evidence that the comparative information agrees to the prior year financial statements and has been presented in line with relevant accounting standards

Requirements for testing comparative and opening balances for first year-engagements

First year engagements

The auditor may need to perform audit tests where the prior year financial statements were not audited or were audited by another auditor

Lesson 6: Final considerations

How does the auditor approach testing the financial statement close process?

Substantive testing procedures for the financial statement close process include:

- Agreeing the audited entity's financial statements to its underlying accounting records e.g. the trial balance and nominal ledger
- Examining material journal entries and other adjustments made during the course of preparing the financial statements.

How does the auditor gain assurance over the presentation assertion?

The auditor will use a **disclosure checklist** to gain assurance over the presentation disclosure.

Assessment approach

The key techniques to remember are:

For designing tests of detail

- Document the procedure considering verb (e.g enquiry, inspection, recalculation, confirmation), population, evidence and activity.

It is important that you understand what assertion you are addressing with any test you design. Some questions may only ask for testing of certain assertions or certain aspects of the balance. No matter how well worded a test is, if it doesn't address the assertion required in the question it will gain no marks.

For designing substantive audit work programmes

When designing a substantive audit work testing programme use the following considerations to help you design a variety of substantive procedures:

- Risk of material misstatement (ROMM)
- Approach
- Accounting policies
- Assertions
- Common procedures
- Standard Tests

Consider whether the tests you have provided are reliable and address all relevant risks and assertions. You should also consider whether the procedures include all evidence available.

As well as designing procedures yourself in an assessment, you could be asked to evaluate procedures that have already been prepared by another member of the team. You should consider whether the procedures detailed:

- are reliable;
- address all the relevant risks and assertions, or whether items are missing;
- can be followed by another member of the team, or whether more detail is required (remember verb, population, evidence, activity);
- include all evidence available.

When designing follow up procedures

Consider the following:

1. Could the substantive analytical calculation be improved?
2. What further evidence could be required?

Remember that any substantive procedures must be tailored and relevant to the given scenario.

Note that 1 mark will be awarded for a basic procedure (enquire/observe) or a common procedure or standard test which is not tailored to the scenario, whereas a well designed test tailored to the scenario with analysis/evaluation/recommendation and a procedure other than enquiry/observation may gain 2 marks.

Conclusion

On completing this module, you can now attempt AAPQ 5 and 25.



Study guide checklist

Have you completed reading module 8?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 9 – Substantive Procedures – Part 3

Introduction

Welcome to the study guide for Module 9 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Outcomes

By completing this module, you will have worked towards the following module learning outcome:

- Design substantive procedures including substantive analytical procedures and tests of detail, incorporating the use of data analytics, and conclude based on evidence received

This will be achieved by working towards the following performance indicators:

- Explain the sample selection techniques available to an auditor and select appropriate items to test as part of a sample
- Apply substantive procedures
- Evaluate the findings from substantive procedures
- Evaluate outstanding matters from the audit and design procedures to gather evidence to conclude on the matters
- Assess whether items require adjustment in the financial statements and prepare a summary of audit misstatements

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Key Terms from Assurance (ASR)

What does ‘sufficient appropriate evidence’ mean?

Auditors must obtain ‘sufficient appropriate evidence’ on which to base their opinion.

Sufficiency – a measure of the quantity of evidence.

Appropriateness – a measure of the quality of evidence. Must be relevant and reliable

Sources of evidence:

- Auditor generated
- Audited entity generated
- Third party/externally generated

What is audit sampling?

Sampling methods include:

- Random selection
- Monetary unit sampling
- Haphazard selection

How is the effect of uncorrected misstatements evaluated at the completion stage of the audit?

- The auditor has to consider misstatements which have been identified in the financial statements and consider whether the impact of misstatements found during the audit is likely to be material.
- The auditor will communicate identified misstatements to management with the request that they be corrected. If management refuses to correct them, the auditor will re-assess materiality and whether uncorrected misstatements are material, individually or in aggregate. If an auditor has found any misstatements, the auditor will report these to the entity (unless clearly trivial). This reporting may be done through a summary of audit misstatements (SAM), which is a summary of all misstatements, corrected or uncorrected, identified during the audit which are not clearly trivial.

Lesson 2: Audit sampling

Based on the characteristics of the population, the auditor may determine that stratification or value-weighted selection is appropriate. A population for testing may be split into different sub-populations that share a particular characteristic; this can often help to reduce sample sizes without increasing sampling risk.

Steps auditor will take when using audit sampling

1. **Determine the level of tolerable misstatement** - addresses the risk that the sum of individually immaterial or undetected misstatements result in the financial statements is materially misstated. It is a monetary amount and application of performance materiality, and may be the same or lower than performance materiality.
2. **Determine the sample size and select items for testing e.g. statistical/non-statistical sampling** - can be determined by applying a statistically-based formula or through professional judgement.

3. **Perform the audit procedure** - should be applied to all items in the sample. If the procedure is not relevant to a particular item, a replacement item should be selected. If a procedure cannot be performed and there is no suitable alternative procedure to perform, then the item should be treated as a misstatement.
4. **Identify the nature and causes of misstatement** - investigate the nature and cause of any misstatements identified and their effect on the assertion and other areas of the audit. This may involve extending audit testing further over a particular type of transaction in the population.
5. **Extrapolate and project the misstatement to the population** - for tests of detail, misstatements found in a sample should be projected to the entire population unless assessed as an anomaly or isolated/one off incident.
6. **Evaluate the results** – consider whether the use of sampling provides a reasonable conclusion about the population being tested. If misstatements were detected, then the extrapolated error, if applicable, should be calculated and compared to the level of tolerable misstatement to determine if it would be material.
7. **Conclude and determine further actions** - If the total projected misstatement (plus anomalies) does not exceed tolerable misstatement, then the sample provides a reasonable basis for conclusion.

   If there is not a reasonable basis for conclusion, the auditor may request management to investigate and quantify the total misstatement or change the nature of testing to provide a reasonable basis for conclusion.

Tutor tip

You may:

- Be asked to prepare training notes for junior staff on substantive testing;
- Be provided with a scenario and asked to comment on appropriate sampling techniques to improve audit efficiency; or
- Be provided with various differences arising from audit procedures and asked to consider what that would mean for the specified assertion.

You need to have a good understanding of these techniques to be able to apply them to different scenarios.

Lesson 3: Practical Application

How does an auditor approach performing substantive procedures?

When performing audit procedures in practice the auditor would follow the relevant audit work programme tailored to identifying risks of material misstatement. A number of audit firms provide generic work programmes which can be amended and added to as appropriate by the audit team. The audit team would then obtain the relevant information from the audited entity and perform the relevant procedures.

Tutor tip

In the assessment, you may be provided with information regarding the section being audited including audit work papers, sub-ledgers, invoices and other relevant documentation. You will only be expected to perform substantive procedures based on the information provided and not all audit procedures that could be performed in relation to an account.

You **will not** be provided with a substantive testing programme and need to assess which procedures are possible based on the information provided. The following approach will help you to undertake an assessment question in this area.

Approach to exam question

Step 1
- **Peform a high-level review of the question including the requirement and appendices**
- It is important to understand what you are being asked and what information you have been given before attempting the question.

Step 2
- **Identify if you are required to design substantive procedures as well as perform them**
- Some questions may expect you to firstly design the substantive procedures before performing them. Your knowledge from Module 8 of this course will help you with this.

Step 3
- **Perform the substantive procedures and identify any issues requiring further investigation**
- Remember you will only be able to perform substantive procedures in relation to the information that you have been provided with.

Step 4
- **Document your findings including any conclusions or follow up procedures required**
- This may involve designing further procedures to address any issues identified.

What are roll-forward procedures?

The auditor may perform substantive procedures at an interim date and then perform additional roll forward procedures e.g. substantive procedures and tests of control to extend testing up to the year end.

May be performed across a wide range of balances and classes of transactions, including trade receivables and/or trade payables circularisations, supplier statement reconciliations and inventory counts.

To help determine whether to perform substantive procedures prior to the year end consider:

- The control environment and other relevant controls
- The availability of information at a later date that is necessary for the auditor's procedures
- The purpose of the substantive procedure
- The risk of material misstatement
- The nature of the figure being tested and related assertions

The ability of the auditor to perform substantive procedures (or substantive procedures and control tests) to cover the remaining period

How does an auditor complete a trade receivables circularisation test?

- Sample of an entity's customers are requested to confirm their outstanding balance directly to the auditor
- Can also be performed for trade payables
- If auditor does not receive a response they will need to perform alternative verification procedures. These may include
  - Checking outstanding invoices to supporting documentation
  - Verifying receipt of payment for outstanding invoices to bank statements
- The auditor must evaluate the results and follow up on any issues. Any differences require to be aggregated and if applicable extrapolated to the population as a whole
- The audited entity's management may refuse to allow the auditor to send confirmation requests. If so the auditor must understand the reasons and whether any alternative procedures can be performed.

How does an auditor complete inventory count follow-up procedures?

- The auditor my use the results from tests of controls over inventory (stock(ie inventory count as part of their substantive procedures
- Procedures may include:

Assertion	Substantive testing procedure
Completeness	**Agree test counts** performed at the year-end inventory take and copies of the audited entity's stock count sheets to the detailed **inventory listing** and investigate all differences. Obtain a complete set of the audited entity's **final inventory sheets** and **agree** the total per the final stock count sheets to the detailed listing from the **system** and investigate all differences.
Existence	**Agree** a sample of quantities of inventory per the detailed **inventory listing** to the **test counts** performed at the inveotyr count per the count sheets.
Accuracy, valuation and allocation of stock	Agree items identified as **spoiled, slow moving** or **obsolete** during the inventory take to the final detailed **inventory listing** and ensure these have been **identified**. Enquire with management how the valuation of these items has been considered and ensure included in the inventory provision, where necessary. Where not provided for, vouch to sales prices after the year end and post year-end quantities sold to corroborate explanations that no provision should be made

How does an auditor perform substantive procedures over payroll?

- Payroll is usually one of the most significant accounts in the statement of profit or loss
- Often risk over fraud and auditor will carry out tests of detail in response to this risk

Lesson 4: Outstanding audit matters

What are outstanding audit matters?

Following the final audit visit it is often the case that the auditor will have **outstanding matters** that the audit team will need to **follow up and conclude on** before the audit report can be issued

Examples include:

- Evidence not yet provided by the audited entity
- Missing evidence
- Evidence received after the conclusion of the final audit visit
- Ongoing matters that may affect the financial statements

How does an auditor approach and resolve outstanding audit matters?

The auditor should approach any outstanding matters as follows

- Analyse the outstanding matter and how it impacts the audit
- Design further procedures to gather sufficient appropriate evidence to resolve the outstanding matters

Tutor tip

In an assessment, you will often be asked to evaluate a number of outstanding matters from the audit and advise what additional evidence is required. Therefore, you must first discuss the matter and why it is relevant to the audit before listing further procedures to gather the additional evidence required. You may be provided with information such as materiality to help you determine whether the matter is material and would impact the financial statements.

Lesson 5: Recording, considering and communicating misstatements

How does an auditor record misstatements discovered during the audit?

The auditor documents any misstatements, except those clearly trivial, identified during the audit in a document called a **Summary of Audit Misstatements**

An example of a summary of misstatements is as follows:

Wolfpack Ltd **Year end: 30 September 20X2** **Summary of audit misstatements**					
Financial Statements Account		**Dr**	**Cr**	**Material**	**Adjusted**
		£	**£**		
1	P&L – depreciation expense	100,000		N	N
	Property, plant and equipment – accumulated depreciation		100,000		
	being adjustment to apply depreciation policy consistently				
2	P&L – revenue	625,333		Y	Y
	Trade receivables		625,333		
	being October 20X2 sales incorrectly included in current year				
3	P&L – administrative expenses	214,000		Y	Y
	Trade and other payables		214,000		
	being correction for unrecorded liabilities				

Summary and Conclusion		
Adjusted differences in P&L	839,333 Dr	Unadjusted differences are judged to be immaterial.
Unadjusted differences in P&L	100,000 Dr	
Adjusted differences in net assets	839,333 Cr	
Unadjusted differences in net assets	100,000 Cr	

The auditor must determine whether as a consequence of the detected misstatement, there needs to be a **revision to the audit procedures performed.**

The auditor will consider whether:

- The misstatement is an isolated incident
- There is evidence of a breakdown of internal control
- Inappropriate assumptions or methods have been applied elsewhere

How does an auditor consider and communicate misstatements discovered during the audit?

- The auditor requests that an entity's management correct all misstatements before the financial statements are issued
- The auditor should also communicate with those charged with governance uncorrected misstatements and the effect that they individually or in aggregate may have on the audit opinion
- The auditor will re-evaluate the risk of material misstatement taking into account any adjustments made
- Items may be material by size or by nature. Examples may include:
  - Circumstances that affect the company's compliance with regulatory requirements and/or debt covenants
  - Circumstances that distort the company's financial ratios
  - Accounting policies that do not lead to material misstatement but may set precedents that cumulatively could become material in future
  - Conditions that increase management compensation (such as profit-related pay) by achieving certain targets
  - Related party transactions, e.g. transactions with directors

Assessment approach:

For audit sampling questions (where results from testing are provided):

1. Identify nature and causes of misstatement.
2. Extrapolate and project the misstatement to the population (were appropriate).
3. Evaluate the results.
4. Conclude or determine further actions/procedures.

For performing substantive procedures questions:

- Perform a high-level review of the question including the requirement and appendices.
- Identify if you are required to design substantive procedures as well as perform them.
- Perform the substantive procedures and identify any issues requiring further investigation.
- Document your findings including any conclusions or follow up procedures required.

Remember, you will not be provided with a substantive testing programme and need to assess which procedures are possible and appropriate based on the information provided.

For outstanding matters questions:

1. Discuss the matter and why it is relevant to the audit before listing further procedures to gather the additional evidence required.
2. Look out for information in the scenario such as materiality to help you determine whether the matter is material and would impact the financial statements.

For audit misstatements questions:

- Is the misstatement material Yes/No or could it be material by nature?
- If multiple misstatements in the same balance/transaction/disclosure, are they material in aggregate?
- Does the item require correction now or could it require correction in due course?
- Does the auditor need to perform any further procedures, including discussing the issue with management, to help reach a final conclusion?
- Have you been asked to prepare a summary of audit misstatements (SAM)? If so, use the example format provided to you in this module

Conclusion

On completing this module, you can now attempt AAPQ 7, 9, 10, 13 and 18.



Study guide checklist

Have you completed reading module 9?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 10 – Completion and Reporting

Introduction

Welcome to the study guide for Module 10 of the Advanced Assurance course. This study guide will help you prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

- Evaluate the results of substantive procedures and the impact of audit misstatements and other findings from the audit process on the audit report and other reporting responsibilities.

This will be achieved by working towards the following performance indicators:

- Evaluate and advise on management's going concern assessment
- Evaluate subsequent events and design procedures to obtain sufficient, appropriate audit evidence in relation to outstanding subsequent events
- Evaluate the sufficiency and appropriateness of audit evidence at the completion stage of the audit, including the evaluation of misstatements arising from the audit
- Explain the purpose of, and prepare, completion documentation
- Explain the purpose of Engagement Quality Review
- Evaluate audit findings and, based on the evidence collected, recommend an appropriate audit report, including the audit opinion and any relevant additional reporting areas
- Explain the communication required with those charged with governance during and at the end of the audit

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Going Concern

What is the going concern principle in the preparation of financial statements?

Under the going concern assumption, an entity is ordinarily viewed as continuing in business for the f**oreseeable future.**

The period of assessment should be a **minimum of 12 months** from the date of approval of the financial statements (also known as the reporting date).

Directors assess the company's going concern status and prepare financial statements accordingly.

The directors' assessment of going concern may focus on:

- The preparation and review of forecasts and budgets, including a cash flow forecast
- A review of lending facilities
- A review of any pending legal cases
- A review of contracts with major customers and suppliers
- A review of competitor performance or entry to local market

What are the external auditor's responsibilities regarding going concern?

Aspects of auditor's responsibilities:

a) **Timing and period of assessment** - The auditor should use the same period of time for the going concern assessment as that used by the directors. If this is less than 12 months from the approval of the financial statements, the auditor must ask the directors to extend this period.

b) **Indicators of going concern risks** - examples in ISA (UK) 570 paragraph A3. Include:

Financial

- Net liability or net current liability position.
- Fixed-term borrowings approaching maturity without realistic prospects of renewal or repayment; or excessive reliance on short-term borrowings to finance long-term assets.
- Indications of withdrawal of financial support by creditors.
- Negative operating cash flows indicated by historical or prospective financial statements.
- Adverse key financial ratios.
- Substantial operating losses or significant deterioration in the value of assets used to generate cash flows.
- Arrears or discontinuance of dividends.
- Inability to pay creditors on due dates.
- Inability to comply with the terms of loan agreements.
- Change from credit to cash-on-delivery transactions with suppliers.
- Inability to obtain financing for essential new product development or other essential investments

Operating

- Management intentions to liquidate the entity or to cease operations.
- Loss of key management without replacement.
- Loss of a major market, key customer(s), franchise, license, or principal supplier(s).
- Labor difficulties.
- Shortages of important supplies.
- Emergence of a highly successful competitor.

Other

- Non-compliance with capital or other statutory or regulatory requirements, such as solvency or liquidity requirements for financial institutions.
- Pending legal or regulatory proceedings against the entity that may, if successful, result in claims that the entity is unlikely to be able to satisfy.
- Changes in law or regulation or government policy expected to adversely affect the entity.
- Uninsured or underinsured catastrophes when they occur.
- Substantial decrease in share price.

You should look out for these factors when evaluating indicators of going concern problems in the assessment.

c) **Procedures to evaluate management's assessment of going concern**

The auditor is required to evaluate management's assessment of going concern. In doing this the auditor must perform procedures to obtain sufficient appropriate evidence about whether:

- **events or conditions** exist that may cast significant doubt over going concern
- **material uncertainties** related to going concern exists
- management's use of the going concern assumption is **appropriate**

Procedures include:

- Evaluating **management's method** (including appropriateness of the method and calculations used, and whether any changes from the method used in prior periods are appropriate)
- Evaluating the **relevance and reliability of data** used by management
- Evaluating the **appropriateness and consistency of assumptions** made
- Evaluating **management's plans for future actions** relating to the assessment
- Considering any **additional facts or information** available since management made their initial assessment
- Requesting **written representations** regarding any future actions and the feasibility of such plans

ISA (UK) 570 provides some examples of considerations for the auditor when designing such procedures:

Procedures	Example considerations
Evaluating management's method	• Appropriateness with applicable financial reporting framework • Consistency with methods used in previous periods
Evaluating the relevance and reliability of data used by management	• Source of data • Consistency of data with previous periods • Accuracy and completeness of data
Evaluating the appropriateness and consistency of assumptions made	• Management's rationale for the selection of assumptions • Changes from prior periods and rationale • Effect of alternative assumptions (sensitivity analysis) • Consistency of assumptions with those used in other areas of business e.g. around estimates
Evaluating management's plans for future actions relating to the assessment	• Reviewing management's documentation of plans • Enquiry of management over reasons for courses of action • Management's history of carrying out stated intentions • Review of subsequent events • Evaluating the feasibility of planned actions and any implications e.g. legal, regulatory, and contractual restrictions • Availability of third-party support e.g. funding if required

Other procedures can include:

- Analysing and discussing cash flow, profit and other relevant forecasts
- Discussing the entity's latest interim financial statements (the auditor may also consider management accounts)
- Reviewing the terms of debentures and loan agreements
- Reading minutes of meetings of shareholders, those charged with governance and relevant committees
- Making inquiries of lawyers regarding ongoing litigation or claims against the company
- Confirming the existence and adequacy of borrowing facilities
- Inspecting regulatory reports

Tutor tip

The assessment may require you to undertake specific procedures relating to the directors' going concern assessment. For example:

- Advise the directors on how to undertake a going concern assessment
- Describe how the auditor should evaluate a going concern assessment
- Identify factors within a scenario that would cause the auditor to question the going concern status of an entity and propose additional audit procedures to be performed in response to these factors
- Evaluate the assumptions used by the client as part of their going concern assessment and identify further evidence required to assess the going concern assumption
- Evaluate the impact of conclusions concerning the going concern assumption on the audit report and audit opinion

You will need to tailor the procedures learnt to the scenario given to ensure your answer is relevant.

Lesson 2: Subsequent events

What are subsequent events?

Subsequent events are events that occur after the balance sheet date. They can be either adjusting or non-adjusting events.

Adjusting events	Non-adjusting events
These provide evidence of conditions that **existed at the period end**. They require **adjustments** to the amounts included in the financial statements.	These provide evidence of conditions that arose **after the period end**. They do not result in adjustments to the amounts included in the financial statements; they will be **disclosed** in the notes to the accounts if they are judged to be sufficiently material.

What are the auditor's responsibilities regarding subsequent events?

Auditor's responsibilities:

a) **Events occurring up to the date of the audit report** - auditors should perform additional substantive procedures designed to obtain sufficient appropriate audit evidence to ensure that they have identified all events. These may include:

- Obtaining an understanding of any procedures management has established to identify subsequent events
- Asking management and those charged with governance about any potential events

- Consider use of written representations
- Reviewing board and committee meeting minutes and enquiring about other matters discussed but not yet minuted.
- Reviewing interim financial information
- Communicating with the entity's legal representatives to consider any litigation or other claims

If subsequent events are identified, these should be substantively tested in the same way as any other area throughout the audit.

b) **After the date of the audit report** – auditors have no obligation to perform audit procedures, however if a fact becomes known they should discuss with management and determine whether an amendment to the financial statements is required and enquire how management intends to address the matter. If the financial statements are amended, the auditor must audit these adjustments.

Tutor tip

The assessment may ask you to evaluate potential subsequent events within a scenario and design further audit procedures in order to allow you to reach a conclusion on the required accounting treatment.

Identifying the relevant subsequent events period is key to answering questions:

- After the audit fieldwork, but prior to the signing of the audit report; or
- After the date of the audit report.

Once the period has been identified the relevant paragraphs in ISA (UK) 560 can be used as a guide to identify what audit procedures should be undertaken at that point. However, you should ensure, if requested, that you have first evaluated whether the event is adjusting or non-adjusting, analysing your conclusion. You should also consider whether an adjusting event actually requires adjustment in the financial statements depending on any provided materiality. Note that this should not just consider the amount, but whether any items are material by nature.

The audit procedures will need to be tailored to the circumstances within the scenario in order to maintain the relevance of your answer to the question.

Lesson 3: Evaluation of evidence at completion

How does the auditor evaluate evidence at completion?

Final analytical procedures – must be performed at completion. If results are not consistent with auditors understanding, additional procedures may be required.

Evaluation of evidence and misstatements - the auditor needs to evaluate the outcome of the procedures performed and determine whether the auditor's assessment of the risks of material misstatement remains appropriate and that sufficient and appropriate audit evidence has been obtained.

The auditor must evaluate the potential effect of any identified and uncorrected misstatements on the audit and, if applicable, on the financial statements.

All misstatements (which are not clearly trivial) are communicated to the management for correction. If material misstatements are left uncorrected, this may impact the audit opinion.

Written representations - statements from management and those charged with governance of an entity that confirm certain matters or support other audit evidence.

Types of matters included in representation letter:

Matter	Representations to be included
Management responsibilities	A **description of management's responsibilities** in relation to the financial statements. Representations that: • Management has **fulfilled its responsibilities** for the preparation of the financial statements • Management has provided the auditor **with all the information and access required** (and any deficiencies in internal control have been communicated to the auditor) • **All transactions are reflected** in the financial statements
Required representations from other auditing standards	• **Fraud** – acknowledgement of responsibility, risk assessment and confirmation that identified/alleged/suspected fraud has been disclosed to the auditor • **Laws and regulations** – confirmation that all known instances/suspected instances of breaches of laws/regulations have been disclosed to the auditor • **Evaluation of misstatements** – confirmation that the effects of uncorrected misstatements are immaterial (a list will be attached to the letter) • **Accounting estimates** – confirmation that significant assumptions used in making accounting estimates are reasonable • **Related parties** – confirmation of appropriate disclosure and complete identification of related party relationships and transactions • **Subsequent events** – all events occurring subsequent to the date of the financial statements and for which the applicable financial reporting framework requires adjustment or disclosure have been adjusted or disclosed • **Going concern** – confirmation of plans to address going concern issues and their feasibility
Representations to support other evidence obtained during the audit of the financial statements	Representations (where necessary): • About the financial statements, for example, whether the selection and application of accounting policies are appropriate • To support information provided to the auditor, for example, that all deficiencies in internal control have been communicated to the auditor • About specific assertions, for example where it is a matter of management's judgements or intentions such as the assumptions used in an impairment calculation

Failure to provide representations on management's responsibilities for the financial statements as a whole is pervasive.

Tutor tip

In the assessment, there may be a question requesting students to identify matters within a scenario that require representations to be sought from management. Consequently, you must be able to identify these matters and be able to describe the nature of the related representations within a written representation letter and consider whether there will be any impact on the audit report.

Lesson 4: Completion documents and quality review

What key documents are produced at the completion stage of an audit?

- **Points forward schedule** - a list of points that need to be brought to the attention of next year's audit team and will be used when planning next year's audit
- **Audit highlights memorandum/summary review memorandum** - concludes on the performance of the audit and summarises the key matters of importance. It is usually prepared by the audit manager or senior for the engagement partner
- **Accounts disclosure checklist** – used to check that all matters have been presented and disclosed in accordance with the Companies Act 2006 (CA 2006) and the applicable accounting standards.

What are the key elements of quality management, including an engagement quality review?

- Whether the work has been performed in accordance with the firm's policies and procedures and other professional standards and legal and regulatory requirements
- Whether significant matters have been raised for further consideration
- Whether appropriate consultations have taken place, and resulting conclusions documented and implemented
- Whether there is a need to revise the work performed
- Whether the work performed supports the conclusions reached and is appropriately documented
- Whether the evidence obtained is sufficient and appropriate
- Whether the objectives of the audit procedures have been achieved

Engagement partner

- Takes responsibility for the direction, supervision and review of the audit engagement.
- Determines that the engagement is sufficiently and appropriately resourced, with sufficient competence, capabilities and time
- Is ultimately responsible for determining that the audit evidence on file is sufficient and appropriate to support the conclusions reached and the audit report to be issued.

Engagement quality reviewer (EQR) - not a member of the engagement team and must be a suitably qualified partner or other person in the firm not otherwise involved in the engagement.

It is mandatory for an EQR to be appointed on listed entities.

The reviewer must:

- have the competence and capabilities, including sufficient time, and the appropriate authority to perform the EQR
- comply with relevant ethical requirements
- comply with provisions of law and regulation, if any, that are relevant to the eligibility of the engagement quality reviewer
- be eligible for appointment as a statutory auditor if the audit of the financial statements relates to a Public Interest Entity

Engagement quality review should include:

- Reading and understanding information communicated by the engagement team
- Discussions, with the engagement partner and team, of significant matters and judgements
- Review of the financial statements and the proposed audit report
- Review of selected audit documentation relating to any significant judgements made by the engagement team

- A consideration of the engagement partner's assessment of the firm's independence from the client
- An assessment of whether appropriate consultations have taken place on difficult matters
- An evaluation of the engagement partner's determination that the engagement partner's involvement has been sufficient and appropriate throughout the engagement.

For public interest entities the following must be specifically considered:

- The independence of the firm from the entity
- The significant risks relevant to the audit and response to those risks
- Reasoning in relation to materiality and significant risks
- Any request for advice from experts and implementation of that advice
- Nature and scope of corrected and uncorrected misstatements identified
- Items discussed with the audit committee, management or supervisory bodies
- Items discussed with the FRC or other third parties
- Whether the documentation on the audit file supports the audit report and report to the audit committee

Lesson 5: Audit Report

What are the contents of an audit report?

Auditor's objective – to form an opinion on the financial statements. The audit report is used to communicate their opinion.

Elements (as introduced in ASR):

1. Title
2. Addressee
3. Auditor's opinion
4. Basis for opinion
5. Conclusions relating to going concern
6. Other information
7. Reporting on other legal and regulatory matters
8. Matters on which auditors are required to report by exception
9. Responsibilities of management for the financial statements
10. Auditor's responsibilities for the audit of the financial statements
11. Name & signature of the auditor
12. Address of the auditor
13. Date of the auditor's report

Additional elements for listed companies

- **Key audit matters** – relevant for listed entities, public interest entities and entities that report on the Code.

  The auditor will consider:
  - Areas of higher assessed risk of material misstatement
  - Significant auditor judgments relating to areas in the financial statements that involved significant management judgement or estimates
  - The effect on the audit of significant events or transactions that occurred during the period

  For each key matter identified by the auditor, the auditor shall include in the audit report:
  - a description of why the matter was considered to be one of the most significant in the audit
  - how the matter was addressed in the audit, including significant judgements made by the engagement team with respect to the matter

- a reference to any related disclosures in the financial statements, if any

- **Summary of audit approach** – including:
  - explanations of the application of materiality
  - an overview of the scope of the audit

- **Reporting on other legal and regulatory requirements** – auditors responsibilities extended to:
  - Directors' remuneration reports – the auditor is required to audit the numerical part of the directors' remuneration report, stating in the audit report whether, in the auditor's opinion, it has been prepared in accordance with the CA 2006. The non-numerical information (the remuneration policies) must be reviewed for consistency with the auditor's understanding of the client's policies.
  - Corporate governance statements - the auditor is required to conclude on certain elements for consistency with the financial statements

What are the types of modified audit opinion?

Elements in audit report which may require modification:

The audit opinion

In forming the opinion, the auditor concludes on whether:

- Sufficient appropriate audit evidence has been obtained to conclude that the financial statements as a whole are free from material misstatement
- Uncorrected misstatements are material, individually or in aggregate
- The financial statements give a true and fair view
- The financial statements have been prepared in accordance with accounting standards and required legislation (e.g. CA 2006)

	Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements	
Nature of matter giving rise to modification	Material but not pervasive	Material and pervasive[1]
1 Financial statements are **materially misstated**	Qualified opinion[2]	Adverse opinion
2 **Inability** to obtain sufficient appropriate audit evidence	Qualified opinion[2]	Disclaimer of opinion

[1] A item is considered pervasive if the effects of the matter:

- Are not confined to specific elements, accounts or items of the financial statements;
- Represent a substantial proportion of the financial statements; or
- In relation to disclosures, are fundamental to the users' understanding of the financial statements

[2] A qualified opinion is often referred to as a "qualified 'except for" opinion, as the financial statements show a true and fair view 'except for' a certain matter

Limitations imposed by management

An auditor may have an inability to obtain sufficient appropriate evidence due to a limitation imposed by management. If management refuses to remove the limitation the auditor should both:

- Communicate to those charged with governance

- Perform alternative procedures

If the auditor is unable to undertake alternative procedures:

- Qualify the opinion if material, but not pervasive
- If pervasive withdraw from the audit or if not possible to withdraw, disclaim the opinion

When can emphasis of matter paragraphs and other matter paragraphs be used in audit reports?

Emphasis of matter paragraph

The **auditor's report** may also be modified **without a modification to the audit opinion**, by the inclusion of an 'emphasis of matter' paragraph.

Purpose - to draw users' attention to a matter that is of such importance that it is fundamental to users' understanding of the financial statements.

Examples:

- Uncertainty relating to the outcome of exceptional litigation or regulatory action
- Early application of a new accounting standard that has a material effect on the financial statements
- A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position

Other matters paragraph

Purpose - refers to a matter other than those presented or disclosed in the financial statements that, in the auditor’s judgement, is relevant to users’ understanding of the audit, the auditor’s responsibilities or the auditor’s report.

Examples:

- Planning and scoping matters
- An outline of circumstances why the auditor is unable to withdraw from the engagement, despite management imposing a limitation on their work; and
- An elaboration of auditor's responsibilities.

What is the impact of going concern issues on the audit report?

Impact of going concern issues on the audit report

The auditor will include a statement within a '**Conclusions relating to going concern**' section in the audit report regarding the going concern basis applied by the directors and the assessment they have made.

The auditor will conclude on:

a) Whether the going concern assumption is appropriate;
b) Whether there are any material uncertainties requiring to be reported by the directors.

Conclusion from audit evidence	Impact on audit report
Going concern basis is **appropriate**	**Unmodified** opinion and report. Statement confirming no matters to report
Inability to obtain sufficient, appropriate audit evidence	**Disclaimer** of opinion
Going concern basis is appropriate, but **material uncertainty** exists – **disclosure appropriate**	**Unmodified** opinion, details of uncertainty within **going concern section** of audit report
Going concern basis is appropriate, but **material uncertainty exists** – **disclosure inadequate**	**Qualified/ Adverse** opinion
Going concern is **inappropriate**	**Adverse** opinion

Tutor tip

A scenario may include you in the role of the external audit manager. The fieldwork has been completed but some issues have arisen, and you have been asked to write notes to be presented to the directors on the possible modifications to the audit opinion or audit report that may be made. The solution would expect an outline of:

- The type of amendment to the audit opinion and/ or audit report (amended opinion or additional paragraphs) and analysis to support that conclusion (circumstances, material/ pervasive/ uncertainty, etc)
- Examples of the wording that will be issued
- Explanation of any other sections of the audit report requiring disclosure or amendment

In assessment questions, there is unlikely to be a single answer concerning the nature of the opinion that should be given. It is far more likely that you will be required to discuss the outcomes and various opinions depending on the information within the scenario and the actions that the relevant parties could take.

Lesson 6: Communication with those charged with governance (TCWG)

Examples of matters that must be communicated to those charged with governance on a timely basis include the following.

Matter	Representations to be included
Significant findings from audit (all entities)	For example: • Difficulties due to the untimely provision of information by the client • Circumstances resulting in a modification to the audit opinion
Auditor independence (listed entities)	In the case of listed entities, the auditor must communicate the following with TCWG. a) A statement that the engagement team has complied with relevant ethical requirements regarding independence. and b) All relationships and other matters between the firm and the client that can affect independence as well as the related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level.

Matter	Representations to be included
Fraud	• Reporting to management and those charged with governance on any actual or suspected fraud identified • Reporting to an appropriate authority where the auditor identified or suspects a fraud
Laws and regulations	• Reporting instances of non-compliance to those charged with governance or the audit committee • Consideration of reporting to an appropriate authority
UK Corporate Governances Code reporting entities	Communications to the audit committee, including: • Information relevant in the context of fulfilling their responsibilities to present a fair, balanced, and understandable financial report and to assess the effectiveness of the company's risk management and internal control systems
Public interest entities	Communications to the audit committee, including: • Identification of key audit partner(s) involved in the audit • Description of scope and timing of the audit
Management letter	A description of the deficiencies and an explanation of their potential effects

Assessment approach

AA assessment questions set at the completion and reporting stage of audit often test various topics in combination.

It is important to ensure that you read the requirement carefully to understand the assessor's expectations.

For questions on going concern, if you are asked to evaluate indicators from the scenario which may lead to going concern problems for the client, ensure that you explain 'why' the indicator may cause liquidity or other related problems in the next twelve months. Procedures to evaluate the management's going concern assessment need to be tailored to the scenario to ensure that your answer is relevant. If asked to evaluate the impact on the audit report, this needs to be carefully assessed. For example, if you agree with the management's assessment, the opinion will not be modified in this regard but the relevant section of the audit report will be modified.

For questions on subsequent events, you may be asked to evaluate whether an event is adjusting or non-adjusting. Ensure that you explain 'why' as you are unlikely to be awarded full marks if you simply write that it's one or the other. You may also be required to design further audit procedures to allow you to reach a conclusion on the required accounting treatment. The audit procedures will need to be tailored to the circumstances within the scenario in order to maintain the relevance of your answer to the question.

The impact on audit reports is often tested in combination with evaluation of matters identified at the completion stage of audit. These matters may include results of going concern or subsequent events reviews or those of evaluating evidence related to misstatements or inability to gather sufficient appropriate evidence. For all questions, sound knowledge of the contents of unmodified and modified audit reports is the basic prerequisite.

Conclusion

On completing this module, you can now attempt AAPQ 8, 16, 20, 23 and 24.



Study guide checklist

Have you completed reading module 10?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 11 – Group Audits

Introduction

Welcome to the study guide for Module 11 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply professional judgement and professional scepticism in conducting an assurance engagement

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

- Evaluate business processes and the components of internal control
- Evaluate the results of acceptance and planning procedures, including the use of audit data analytics to assess and determine the risk of material misstatement and impact on audit approach
- Design substantive procedures including substantive analytical procedures and tests of detail, incorporating the use of data analytics, and conclude based on evidence received
- Evaluate the results of substantive procedures and the impact of audit misstatements and other findings from the audit process on the audit report and other reporting responsibilities

This will be achieved by working towards the following performance indicators:

In relation to a group audit:

- Explain an auditor's professional requirements in relation to acceptance and continuance of an audit engagement.
- Evaluate the information collected about an entity to identify the significant risks of material misstatement in the financial statements
- Evaluate the results of planning analytical review findings, including calculating an expectation for key figures in the financial statements
- Plan an approach to gathering sufficient appropriate audit evidence in response to identified risks of material misstatement
- Evaluate a group's control environment and control systems and recommend control procedures that they should implement over their operations and preparation of consolidated financial statements
- Recommend appropriate materiality figures and consider the application of materiality to the audit process.
- Design tailored substantive procedures in response to findings arising during the audit process
- Evaluate audit findings and, based on the evidence collected, recommend an appropriate audit report, including the audit opinion and any relevant additional reporting areas

You will be 'assessment ready' for questions in this module when you can confidently complete each of the module learning outcomes above.

Here is a reminder of some key points to look at in this module.

Lesson 1: Introduction to Group Audits

What are group audits?

Group audits are audits of financial statements that include the financial information of more than one entity or business unit.

Key terms:

Group financial statements	Financial statements that include the financial information of more than one component
Component	An entity or business activity for which financial information is separately prepared, and which is included in the group financial statements.
Group auditor	Responsible for providing the audit opinion on the group financial statements. Includes the group engagement partner and members of the engagement team other than component auditors
Component auditor	May be engaged by the group auditor to audit a specific component.
Group engagement letter	Confirms terms of the engagement
Letter of support	May be issued by parent company to help the directors of the subsidiary to meet their responsibilities with respect to going concern, if there is an issue at a subsidiary.

The **group auditor** is responsible for:

- Establishing the **overall group audit strategy and group audit plan**
- **Directing and supervising component** auditors and reviewing their work
- Evaluating the **conclusions drawn from the audit evidence** obtained as the basis for forming an opinion on the group financial statements
- Determining, through review of audit documentation and discussion with the engagement team, that **sufficient appropriate audit evidence** has been obtained to support the conclusions reached and for the **auditor's report on the group financial statements** to be issued.

The group engagement partner is solely responsible for expressing an opinion on the group financial statements. As a result, the auditor's report on the group financial statements must not refer to a component auditor (unless required by law or regulation).

Key considerations which should be adhered to when conducting a group audit:

Lesson 2: Acceptance and Continuance of Group Audit Engagements

What are the special considerations?

The group auditor needs to determine whether they can obtain audit evidence in relation to the consolidation process and the financial information of the components. To be able to do this, the group audit team needs to understand the group, its components and their environments. They need to gather an understanding of matters such as:

- The group structure, including both the legal and organisational structure
- Activities that are significant to the group (e.g. industry and regulatory, economic and political environments)
- The use of service organizations
- The use of shared service centres
- The consolidation process. There may be risks associated with potential complex accounting treatments on consolidation
- The use of component auditors and other resources
- Whether the group auditor will have unrestricted access to those charged with governance (TCWG) of the group, group management, TCWG of the component, component management and component information.
- For recurring engagements: significant changes in structure, activities, composition of TCWG

Group engagement letter – to confirm the terms of the engagement, the group auditor issues a group engagement letter.

The group auditor must obtain the agreement of group management that it acknowledges and understands its responsibility to provide the engagement team with:

- Access to all information of which group management is aware that is relevant to the preparation of the group financial statements, such as records, documentation and other matters
- Additional information that the engagement team may request from group management or component management for the purpose of the group audit
- Unrestricted access to persons within the group from whom the engagement team determines it necessary to obtain audit evidence

Lesson 3: Group Audit Planning

How does the group auditor establish the group audit strategy and plan?

The group auditor establishes the overall group audit strategy and group audit plan.

a) Selecting components at which audit work will be performed

This is based on auditor judgement. There may be factors which increase ROMM:

- Newly formed or acquired components
- Components in which significant changes have taken place
- Components which have significant transactions with related parties
- Components where abnormal fluctuations have been identified by analytical procedures

b) The resources needed to perform the group audit engagement

Resources and extent to which component auditors are to be involved is a matter of professional judgement and may include:

- Knowledge and experience of engagement team
- Initial expectations about potential ROMM
- The group's system of internal control
- Previous experience with the component auditor

The group engagement partner is responsible for:

- Confirming whether component auditors understand and will comply with the relevant **ethical requirements**
- Determining that component auditors have the **appropriate competence** and **capabilities**, including sufficient time, to perform the assigned audit procedures at the component

What are the key areas to evaluate in a group audit?

Understanding the group

The auditor must obtain a sound understanding of the structure and operations of the group as part of the overall understanding of the organisation to enable any problems or issues to be identified and considered right from the start of the audit.

Examples of matters that the group auditor must obtain an understanding of include the following:

- The group and its environment, the financial reporting framework and the consistency of accounting policies and practices across the group.
  - Organisational structure
  - Regulatory factors impacting the group
  - Measures used to assess the entities' or business units' financial performance
- The group's system of internal controls
  - Commonality of controls
  - Whether and, if so, how the group centralises activities relevant to financial reporting
  - Consolidation process

Understanding key controls over the preparation of group financial statements.

Planning for the group audit may be impacted by whether the group structure is **centralised or decentralised.** Consider:

- Management and governance by directors
- Operating processes and controls (such as treasury, finance and payroll)

How do group auditors identify and assess the risks of material misstatement?

Specific accounting issues related to the consolidation process

Different accounting policies	If different, will require adjustments on consolidation
Non-conterminous accounting periods	Can be consolidated at a different date if within 3 months of parent company's year end
Foreign subsidiaries	Will require translation into group currency on consolidation. There may also be cultural or language differences which impact communication.
Fair values and goodwill	On acquisition of subsidiary
Group taxation	Tax can be complicated (eg group or consortium relief, group VAT election)
Acquisitions made during the accounting period	Must only include the results of the new subsidiary from the date of acquisition
Related parties	May be harder to identify in a group due to increased complexity of organisational structure

Subsidiaries not wholly owned	Must be consolidated where control exists, and therefore a group may include subsidiaries where less than 100% of the subsidiary is owned by the group
Disclosure	Higher level of disclosure required than for individual financial statements

Tutor tip

In the assessment, you are likely to be given information about the components in the group, the industries they are in and the related trading conditions as well as the group structure and controls over group financial reporting.

Therefore, you can expect audit risks to arise in three areas:

1. Risks within each component similar to an individual entity
2. Risks arising from the group structure or changes in the group structure
3. Deficiencies of controls that impact on the consolidation process

You will need to consider the significance of risks within each individual component to assess whether they would be considered a significant ROMM at the group engagement level.

How is materiality for group financial statements determined?

The group engagement team determines materiality for the group financial statements as a whole and for the components

Overall materiality: Materiality is determined for the group financial statements as a whole using the same approach as for an individual company outlined in Module 4.

Component materiality: For those components where component auditors will perform a review or audit for group purposes, component materiality is determined by the group engagement team at a level lower than overall group materiality. This is to reduce, to an appropriately low level, the probability that the aggregate of uncorrected and undetected misstatements in each component exceeds overall materiality for the group.

Clearly trivial threshold: Only misstatements above this level will be reported to the group engagement team by component auditors.

Lesson 4: Group Audit: Test of Controls, Substantive Testing, Completion & Reporting

How do group auditors respond to assessed risks of material misstatement?

The group auditor is responsible for the nature, timing and extent of further audit procedures to be performed, including determining the components at which to perform further audit procedures and the nature, timing and extent of the work to be performed at those components.

The group auditor may:

- Perform further audit procedures centrally
- Perform further audit procedures at the component level
- Perform further audit procedures on a large number of components whose financial information is individually immaterial but material in aggregate to the group financial statements

The group auditor may determine the following scope of work to be appropriate at a component level (with the involvement of component auditors, if applicable):

- Design and perform further audit procedures on the entire financial information of the component
- Design and perform further audit procedures on one or more classes of transactions, account balances or disclosures
- Perform specific further audit procedures

What are the key controls over the preparation of group financial statements?

Group instructions

The group auditor should consider whether the instructions:

- Adequately describe the characteristics of the applicable financial reporting framework and the accounting policies to be applied
- Address information necessary to prepare disclosures
- Address information necessary for making consolidation adjustment
- Include a reporting timetable

Consolidation phases

Some suggested controls over the consolidation process are as follows:

Control	Reason for control
Collection of data	
An up-to-date consolidation manual should be made available to all relevant staff to inform them of the required procedures and provide guidance to ensure that company policy is adhered to.	Ensure that staff undertaking the consolidation process are suitably trained.
The entity's group accounting team should identify all companies that should be included within the consolidation using the group structure and completing a checklist to confirm all information received. A formal process should be implemented to report any changes to the group structure (e.g., a disposal) through a change form to the group team.	Data is collected from correct set of subsidiaries to ensure completeness of the financial information.
Issue each company requiring consolidation with a consolidation submission proforma to complete. These proformas should be sequentially numbered/allocated with company identifier to ensure that a submission is collected from each relevant subsidiary and followed up if required.	Data received is accurate and complete.
Group instructions are provided to each group company to indicate what information should be provided.	Data received is accurate and complete and received on a timely basis, including relevant disclosures.
Information from subsidiaries should be accepted only in agreed formats and after review and approval by the subsidiary finance director.	Data received is accurate and complete, received on a timely basis and is in a format appropriate for the consolidation to be performed.
Request subsidiaries confirm their compliance with group accounting policies and agree accounting policies used within the subsidiaries to group policy on receipt of consolidation return. Investigate any differences.	Individual returns comply with group accounting policies.

Control	Reason for control
Implement and communicate a formal process for subsidiaries to notify the group team of any late adjustments (including audit adjustments) that may arise after the submission of information.	Late adjustments are reflected in the group financial statements
Amalgamation of data	
All returns are reviewed for completeness (manual/automated) and omissions followed up.	Only complete consolidation returns are amalgamated, none are excluded completely.
Subsidiary information should be agreed to source once input, with any exceptions followed up. The consolidation package should include master file controls including restrictions on editing information. Include control total checks, balancing checks, and the reporting of unusual transactions within the consolidation package.	All data is calculated accurately.
Consolidation adjustments	
Checklist of consolidation adjustments followed and completed; checklist reviewed by an appropriate official. In an automated system this checklist can be loaded onto the system and the software programmed to flag duplication/missing entries.	All consolidation adjustments required are made, with no duplication.
Agreement by an appropriate official of adjustments actually made to those proposed and included on checklist. Complete a journal posting form for all entries which is subject to review. Sign off by a responsible official of adjustments documentation when agreed adjustments are made.	All consolidation adjustments are made accurately.
Staff making consolidation adjustments are adequately trained in the consolidation procedures and a responsible official reviews the work done.	All consolidation adjustments are calculated in accordance with the relevant accounting standard/ company law.
Reporting	
Review checklists for completeness and authorisation by responsible official.	Ensure consolidated accounts are complete.
Review of consolidated accounts by appropriate responsible officials. Implement access controls to the consolidation software, to ensure that only responsible officials can request and access consolidation information. Agree consolidated accounts to consolidation schedule and supporting documentation.	Ensure consolidated accounts are accurate.
Complete a disclosure checklist.	Required disclosures have been included.

Tutor tip

This knowledge can be applied to questions in the assessment which you may be asked to describe tests of controls or evaluate control weaknesses in the group's consolidation process.

For example, a scenario could provide process notes detailing a client's consolidation process and require you to evaluate any weaknesses identified and recommend appropriate control activities to improve the process. Understanding the types of controls in place and the reason for these controls will allow you to identify where weaknesses exist.

Audit work to be performed in relation to the consolidation process

- Evaluating whether all **components** have been included
- Evaluating the appropriateness, completeness and accuracy of **consolidation adjustments**
- Evaluating whether **management's judgements** made in the consolidation process give rise to indicators of possible management bias
- Responding to assessed **ROMM due to fraud** arising from the consolidation process.
- Checking that **figures** taken into the consolidation have been accurately extracted from the financial statements of the components by reconciling the data.
- Checking the arithmetical accuracy of all **consolidation schedules** and recalculating all consolidation adjustments
- Reviewing the **disclosures** necessary in the group financial statements, such as related party transactions
- Investigating the treatment of any components which have a **different financial year end** from that of the rest of the group.
- Gathering evidence appropriate to the s**pecific consolidation adjustments** made necessary by financial reporting standards, including, for example: calculation of goodwill and cancellation of inter-company balances and transactions

When component auditors are involved in the design or performance of further audit procedures for group audit, the group auditor must:

- Communicate with them about matters relevant to the design of responses to the assessed ROMM
- Evaluate the appropriateness of these procedures on areas of higher assessed ROMM or significant risks
- Ensure their work is directed, supervised and reviewed

Tutor tip

You may be required to produce a list of substantive tests over the consolidation for a group engagement in the assessment.

Therefore, you will have to identify the relevant specific substantive procedures that would be appropriate for this type of engagement. To do this, you should consider the relevant accounting policies, risks and assertions.

You should approach the audit of the consolidation using the same methodology as for any other balance: consider the ROMM, accounting policies and assertions to ensure you have coverage of all areas requiring procedures.

Evaluating the component auditor's communications and the adequacy of their work

To allow the group auditor to assess the adequacy of the component auditor's work, certain matters need to be communicated to the group auditor by the component auditor. These include:

- Identification of the financial information on which the component auditor has been requested to perform audit procedures.
- Whether the component auditor has performed the work requested by the group auditor.
- Whether the component auditor has complied with the relevant ethical requirements, including those related to independence, that apply to the group audit engagement.
- Information about instances of non-compliance with laws or regulations.
- Corrected and uncorrected misstatements of the component financial information identified by the component auditor and that are above the threshold communicated by the group auditor.
- Indicators of possible management bias.
- Description of any deficiencies in the system of internal control identified in connection with the audit procedures performed.

- Fraud or suspected fraud involving component management, employees who have significant roles in the group's system of internal control at the component or others where the fraud resulted in a material misstatement of the component financial information.
- Any events or conditions identified by the component auditor that may cast significant doubt on the group's ability to continue as a going concern.

What are the special considerations related to group audits for the completion and reporting stages of audit and communication with those charged with governance?

Evaluating the sufficiency and appropriateness of audit evidence obtained

Additional time must be built into the audit process to enable the group auditor to:

- Review the work of the component auditors and the group team
- Review any reporting documentation from the component auditors
- Consider any modifications of component audit reports on the group audit report

Discuss all salient issues with the component auditors **Communications with TCWG**

Should include:

a) An overview of the work to be performed at the components of the group, and the involvement of component auditors
b) Any concerns about the quality of that component auditor's work
c) Any limitations on the scope of the group audit,
d) Fraud or suspected fraud
e) Identified deficiencies in the group's system of internal control
f) Additional matters for public interest entities

The group auditor has **sole responsibility** for the opinion on the consolidated group financial statements.

Assessment approach

Audit Risks

You are likely to be given information about the components in the group, the industries they are in and the related trading conditions as well as the group structure and controls over group financial reporting.

Therefore, you can expect audit risks to arise in three areas:

1. Risks within each component similar to an individual entity
2. Risks arising from the group structure or changes in the group structure
3. Deficiencies of controls that impact on the consolidation process

You will need to consider the significance of risks within each individual component to assess whether they would be considered a significant ROMM at the group engagement level.

Internal control

You may be asked to describe tests of controls or evaluate control weaknesses in the group's consolidation process. For example, a scenario could provide process notes detailing a client's consolidation process and require you to evaluate any weaknesses identified and recommend appropriate control activities to improve the process. Understanding the types of controls in place and the reason for these controls will allow you to identify where weaknesses exist.

Substantive procedures

You may be required to produce a list of substantive tests over the consolidation for a group engagement in the assessment. You will have to identify the relevant specific substantive procedures that would be appropriate for this type of engagement.

To do this, you should consider the relevant accounting policies, risks and assertions. You should approach the audit of the consolidation using the same methodology as for any other balance; consider the ROMM, accounting policies and assertions to ensure you have coverage of all areas requiring procedures.

Conclusion

On completing this module, you can now attempt AAPQ 12.



Study guide checklist

Have you completed reading module 11?	
Have you completed the skills checkers and skills builders?	
Can you confidently complete the module learning outcomes listed on this module?	
Can you confidently answer the guiding questions?	
Have you completed the assessment practice questions?	
Have you used the discussion board to ask questions on areas you are unsure about?	

Module 12 – Other assurance engagements and related services

Introduction

Welcome to the study guide for Module 12 of the Advanced Assurance course. This study guide will help you navigate the course material and prepare for the assessment.

Syllabus Learning Outcomes

- Apply practical skills and technical knowledge in providing assurance services

Module Learning Outcomes

By completing this module, you will have worked towards the following module learning outcomes:

- Plan non-statutory assurance and sustainability reporting engagements, including assurance engagements over financial and non-financial information

This will be achieved by working towards the following performance indicators:

- Explain the nature of other assurance services, related services and other services provided by professional accountants and recommend suitable types of engagements
- Evaluate the distinct considerations and requirements when undertaking engagements other than a financial statement audit
- Design procedures based on distinct considerations and requirements when undertaking engagements other than a financial statement audit

You will be ‘assessment ready’ for questions in this module when you can confidently complete each of the module learning outcomes above.

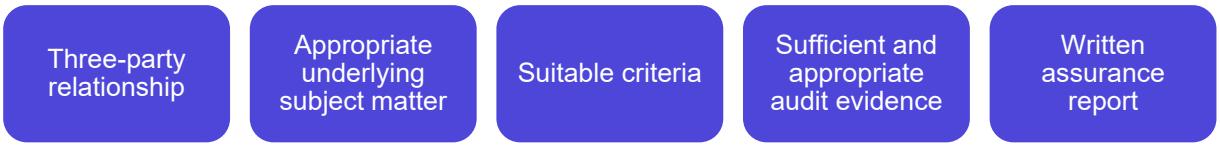
Here is a reminder of some key points to look at in this module.

Lesson 1: Assurance Engagements and Related Services

What are the elements of an assurance engagement?

An engagement in which a practitioner aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party.

Elements



Tutor tip

In the AA assessment, you may be asked to assess if an engagement, that is not a statutory audit, is an assurance engagement. The five elements (i.e. a three-party relationship, an appropriate subject matter, suitable criteria, sufficient, appropriate evidence and a written assurance report) are a good checklist to remember to consider the different aspects that should be considered.

What are the key stages of an assurance engagement?

Level of assurance given may be **reasonable** or **limited**.

1. **Acceptance and continuance** - consider commercial and professional factors. Potential outcomes of preliminary risk assessment are:
   a) Accept a duty of care and include an agreement by the third party in the engagement letter
   b) Ensure the third party confirms there is no duty of care
   c) Include a disclaimer of liability to any third party in the report
   d) Reject the engagement

   An engagement can only be accepted or continued if it exhibits the following characteristics:

   - The engagement partner has no reason to believe that **ethical requirements** will not be satisfied
   - The engagement partner is satisfied the engagement team have the appropriate **competence** and **capabilities**
   - The basis upon which the engagement is to be performed has been agreed through:
     - Establishing **preconditions** for an assurance engagement are present
     - Confirming each party understands the **responsibilities** of the practitioner

   The practitioner can only accept the assurance engagement if the following preconditions have been met:

   - The roles and responsibilities of the parties are suitable in the circumstances
   - The underlying subject matter is appropriate
   - The criteria are suitable to the engagement circumstances
   - The criteria to be applied will be available to the intended users
   - The practitioner expects to be able to obtain the evidence needed to support their conclusion
   - The conclusion is to be contained in a written report
   - The practitioner is satisfied that there is a rational purpose for the engagement and expects to be able to obtain a meaningful level of assurance

   Engagement letter – clarifies responsibilities, the scope of the engagement and the form of report that will be provided or work that will be performed.

Quality management -- quality management procedures (e.g. recording work, supervision, review) should be followed as required by ISQM (UK) 1.

2. **Planning** - should set the scope, timing and direction of the engagement.

   Items to consider:

   - The **characteristics** of the engagement that define its scope
   - The expected **timing** and the **nature of the communications** required
   - The results of engagement **acceptance activities**
   - The **engagement process**
   - The practitioner's **understanding** of the appropriate party and its environment
   - Identification of **intended users** and their information needs, and consideration of **materiality** and the components of engagement **risk**
   - The extent to which the **risk of fraud** is relevant to the engagement
   - The nature, timing and extent of resources necessary to perform the engagement, such as personnel and expertise requirements
   - The impact of the **internal audit function** on the engagement

   Materiality should be set considering what factors could reasonably influence the decisions of the intended users

3. **Evidence collection** - will include obtaining a detailed understanding of the underlying subject matter.

   Considers:

   - Risk considerations, and relevant responses (including tests of controls and substantive procedures)
   - The relevance and reliability of the evidence gathered
   - The use of a practitioner's expert or internal audit
   - Written representations from management
   - Subsequent events

4. **Completion and reporting** – assurance engagement report will include an opinion similar to the opinion given in an auditor's report:

Nature of matter giving rise to the modification	**Practitioner's judgment about the pervasiveness of the effects or possible effects on the subject matter information**	
	Material but not pervasive	Material and pervasive
Subject matter information is materially misstated	Qualified opinion ('except for')	Adverse opinion
Limitation of scope	Qualified opinion ('except for')	Disclaimer of opinion

   The minimum content of an assurance engagement report is as follows:

   - Title clearly indicating the report is an independent assurance report
   - Addressee
   - An identification and description of the level of assurance obtained by the practitioner and the underlying subject matter
   - Identification of the criteria; where these are designed for another purpose, this must also be stated

- If appropriate, description of any significant, inherent limitation with measurement or evaluation of the subject matter
- A statement to identify the responsible party and describe their responsibilities
- A statement that the engagement was performed in accordance with ISAEs
- A statement that the practitioner's firm applies ISQM (UK) 1 and ISQM (UK) 2 or other equivalent professional standards
- A statement confirming the practitioner's adherence to appropriate professional and ethical standards
- An informative summary of the work performed as a basis for the conclusion
- The conclusion
- The practitioner's signature
- The date of the assurance report
- The location where the practitioner practices

Tutor tip

In the AA assessment, you may be provided with a scenario outlining the type of assurance (or engagement) required. Examples of how you may be tested on this topic include:

- Comparing the level of assurance with an audit and outlining the key differences in the form and content of reports issued
- Assessing whether an engagement is an assurance engagement
- Determining the form of report and evidence to be collected, and
- Outlining the stages of the assurance engagement and the considerations for the auditor at each stage

Using the content in the lesson can help as a prompt to ensure you are covering a range of issues, if required in the question.

What are agreed-upon procedures and compilation engagements?

Related services

Engagements where the practitioner performs services without providing assurance:

- **Agreed-upon procedures** – procedures to be performed are specified in the engagement letter. The practitioner performs these procedures and reports factual findings and results to the user.

  It is the user's responsibility to interpret these findings to draw their own conclusions and opinion. The practitioner reports on the agreed-upon procedures and findings objectively in terms that are clear, not misleading and not subject to varying interpretations.

  They do not express any type of opinion or conclusion on the results.

- **Compilation engagements** – involves compiling financial information, such as preparation of financial statements. No type of opinion or conclusion is expressed.

  A compilation engagement would commonly include the preparation of financial statements but may also include the collection, classification and summarisation of other financial information.

Lesson 2: Review of Interim Financial Information

- All listed companies must make public a half-yearly report. Companies can choose to have this reviewed.
- **Limited assurance** engagement - opinion expressed in 'negative' form
- Less work, less costly for client

The key stages of a review of interim financial information are:

- **Planning** - the external auditor would have obtained an understanding of the entity and its environment, including its internal control. In planning a review of interim financial information, the auditor updates this understanding
- **Evidence** - primarily obtained by enquiry and analytical procedures
- **Completion** – the auditor will evaluate results of procedures performed, including any uncorrected misstatements, and will form a conclusion
- **Reporting** – report should clearly state that the review is not an audit and the auditor is not expressing an audit opinion

Lesson 3: Assurance on Prospective Financial Information

- Prospective financial information (PFI) is any financial information that is based on assumptions about events that will happen in the future.
- It can be in the form of a forecast or projection or a combination of both
- More common to be **limited assurance** engagement (opinion in negative form) due to subjectivity of PFI
- Auditor's risk is higher if period covered is longer
- Procedures will include
  - The likelihood of material misstatement
  - The knowledge obtained during any previous engagements
  - Management's competence regarding the preparation of prospective financial information
  - The adequacy and reliability of the underlying data
  - The extent to which the prospective financial information is affected by the management's judgement and reasonableness of assumptions
  - Correct application of assumptions in preparation of prospective financial information
  - Disclosure of assumptions (i.e. whether best estimates or hypothetical)
  - Consistency of accounting principles and practices used in historical financial information in preparation of prospective financial information
  - Obtaining written representations

Lesson 4: Other Assurance Engagements

What are forensic audits?

- Relates to the application of auditing skills to situations that have legal consequences, such as the investigation of fraud or suspected fraud
- The auditor may be engaged to assess risks, test controls and identify weaknesses in those controls.

What are the various assurance engagements that may be conducted on internal controls?

Examples of circumstances where a client may request a professional accountant to undertake an engagement concerning the testing of internal controls include the following:

- **Internal control assessment** - to assist management in fulfilling their responsibilities to ensure effective controls are in place and operating.
- **Internal audit** - professional accountants may be involved in undertaking engagements reviewing the effectiveness and operation of internal controls over financial systems as this is their area of expertise. The report produced may be similar to a management letter highlighting weaknesses found and offering recommendations.
- **Service organisations** - the client may use a service organisation (or be the service organisation) whose functions are integral to the entity's operations. The entity using the service organisation may want assurance that the controls in place are appropriate to ensure its operations or assets are properly accounted for and managed (Type 1 and Type 2 reports).

What are due diligence engagements?

- Commonly performed where one company is planning to take over another
- Examples of procedures include:
  - the legal investigation of contracts and obligations
  - investigation of tax affairs or potential exposure
  - an assessment of business operations
  - a review of financial information

What are public sector engagements?

- Includes work related to grants
- Such work may be part of the scope of the public sector audit or may be a separate engagement
- An example is Housing Benefit (HB) - consider administration and claims

What are charity engagements?

- OSCR requires charity's accounts to be externally scrutinised
- Many charities can elect to submit an 'independent examination' of their accounts, which is intentionally less onerous than a full audit
- An independent examination looks at a charity's accounting records and annual accounts and considers whether the accounts are a fair reflection of the underlying records.
- It provides a degree of comfort to the reader that the figures in the accounts and the Trustees' Annual Report present an accurate picture of the financial activity of the charity for the accounting period.

Lesson 5: Assurance on Sustainability Information

What is sustainability reporting, and what level of assurance is provided?

Organisations may report on sustainability and associated areas through several channels. For example:

- An environment, social and governance report included in the annual report or separately;
- A sustainability report included as part of the annual report or published separately;
- Through integrated reporting; or
- Listed entities reporting on greenhouse gas emissions and their global energy use in their annual directors' report.

It can be challenging to obtain sufficient, appropriate evidence required to provide reasonable assurance due to:

- Qualitative information
- Future forecasts
- Data quality and availability
- Internal capabilities
- Regulatory environment

Fror these reasons, **limited assurance** is much more common at present.

What is the impact of sustainability risks and sustainability reporting on external audit?

Where sustainability risks are financially material for a company, its auditors must consider whether those risks are properly reflected in the financial statements in order to report whether they provide a true and fair view of the financial position and performance of the company.

Additionally, if sustainability reports are included in the annual report with audited financial statements, the auditors will have responsibility to review these reports for consistency with the financial statements.

What assurance skills and methodologies can be used to support transition planning?

Transition finance - incorporates the financial flows, products and services that facilitate an economy-wide transition to net zero consistent with the Paris Agreement.

A transition plan - details how an entity will adapt their strategy and operations in order to achieve their net zero climate goal. Transition plans are therefore an example of forward-looking information which will inform corporate strategy.

What are the key features of a transition plan?

Key elements of a good practice transition plan:

- Foundations
- Implementation strategy
- Engagement strategy
- Metrics and targets
- Governance

Why is assurance on transition plans required?

Assurance on transition plans, like assurance on any information, will help enhance the credibility of disclosures contained in these transition plans.

Assurance skills such as evidence collection techniques and professional scepticism can be applied to transition plans.

Methods which can be used to gain some level of assurance or comfort over transition plans include:

- KPI or metrics assurance
- Process of controls assurance
- Agreed upon procedures

Conclusion

On completing this module, you can now attempt AAPQ 2 and 11.



Study guide checklist

Have you completed reading module 12?	
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